

Model Exam for ACFN students

1. Receipt of unearned revenue
A. Decreases a liability; increases stockholders' equity.
B. Decreases revenue; increases stockholders' equity.
C. Increases an asset; increases revenue.
D. Increases an asset; increases a liability.
2. The economic entity assumption in financial accounting assumes that:
A. The business will continue operating indefinitely
B. The financial statements are prepared using historical cost
C. The business is separate from its owners and other entities
D. Financial information should be presented with a view to maximizing profits
3. The principle that requires an entity to disclose all necessary information for users to understand the impact of its financial position and performance is called:
A. Materiality
B. Full disclosure
C. Consistency
D. Conservatism
4. The accounting assumption that allows financial information to be recorded and reported in intervals is known as:
A. Periodicity
B. Consistency
C. Objectivity
D. Going concern
5. Which of the following methods assumes that the first inventory purchased is the first inventory sold?
A. FIFO
B. LIFO
C. Weighted Average
D. Specific Identification
6. Company A acquires 80% of company B for \$1,000,000. Calculate the non-controlling interest (NCI) based on the fair value of company B's net assets being \$600,00.
A. \$240,000
B. \$120,000
C. \$180,000
D. \$60,000
7. Company X acquires 100% of company Y for \$2,000,000 in a cash acquisition. If the fair value of Y's identifiable net assets is \$1,500,000, what is the goodwill recognized?
A. \$1,500,000
B. \$2,000,000
C. \$500,000
D. \$3,500,00
8. Under IPSAS, when a grant is received for a specific program and is required to be used only for that program, which fund would account for it?
A. General revenue fund
B. Debt service fund
C. Capital projects fund
D. Special revenue fund
9. What type of basis of accounting is typically used in general revenue funds under IPSAS?
A. Accrual basis
B. Modified accrual basis
C. Cash basis
D. IFRS basis
10. Under IPSAS, what is the primary purpose of the general revenue fund's budget?
A. To allocate resources for specific programs
B. To ensure compliance with debt service requirements
C. To plan and control general government operations
D. To fund long-term capital projects.
11. In a general revenue fund under IPSAS, which of the following is an example of an expenditure?
A. Property tax collections
B. Purchase of office furniture
C. Transfer from another fund
D. Interest income
12. Under IPSAS, what is the primary objective of a special revenue funds?
A. To account for general government operations
B. To manage specific revenue sources
C. To record long-term capital projects
D. To report changes in net assets
13. What is the term for the excess of expenditures over revenues in a special revenue funds?
A. Surplus
B. Deficit
C. Net assets
D. Reserves
14. What is the primary objective of IPSAS?
A. Harmonizing global financial reporting standards for the private sector
B. Facilitating international trade agreements
C. Enhancing accountability and transparency in public sector financial reporting
D. Promoting tax regulations across nations
15. What is the primary purpose of a capital project fund in governmental accounting?
A. To account for general government operations
B. To accumulate resources for and manage long-term capital projects
C. To record day-to-day operational activities
D. To manage specific revenue sources
16. In a capital project fund, which of the following is a typical source of funding for long-term capital projects?
A. Property taxes
B. Grants for specific programs
C. Sales tax revenue
D. Operating income
17. Which fund would account for the payment of principal and interest on a government's outstanding bonds?
A. General Revenue Fund
B. Debt Service Fund

C.Capital Project Fund

D.Special Revenue Fund

18. What are current assets?
 - A. Assets purchased within the last year.
 - B. Assets expected to be converted into cash within one year or operating cycle.
 - C. Assets which will be used within the next month.
 - D. Assets are the net working capital of the firm.
19. The income statement reveals
 - A. Resources and equities of a firm at a point in time
 - B. Net earnings (net income) of a firm for a period of time
 - C. Resources and equities of a firm for a period of time
 - D. Net earnings (net income) of a firm at a point in time
20. Which one of the following statements regarding the statement of financial position is **false**?
 - A. It was formerly known as the balance sheet.
 - B. It shows the assets and liabilities of a business at a certain point in time.
 - C. It shows how much the owner has invested in the business.
 - D. It shows the average assets and liabilities of a business over the last financial period
21. Which one of the following is **not** a category of cash flows required to be shown on the statement of cash flows?
 - A. Cash flows from operating activities
 - B. Cash flows from taxation
 - C. Cash flows from financing activities
 - D. Cash flows from investing activities
22. When preparing bank reconciliation, bank collections are:
 - A.Deducted from the bank statement balance.
 - B.Added to the balance per books.
 - C.Added to the bank statement balance
 - D.Deducted from the balance per books.
23. Which of the following method considers each unit in inventory as having the same cost?
 - A.FIFO
 - B.LIFO
 - C.Weighted Average
 - D.Specific Identification
24. Which one of the following is correct about Credits?
 - A.Increase both assets and liabilities
 - B.Decrease both assets and liabilities
 - C.Increase assets and decrease liabilities
 - D.Decrease assets and increase liabilities
25. Which one of the following is/are the reason/s for purchase return?
 - A.Inferior quality of goods received
 - B.Wrong specification or order
 - C.Damage caused to goods in shipment
 - D. All of the above
26. In preparing a bank reconciliation, the amount of checks outstanding would be
 - A.Deducted from the bank balance according to the depositor's records
 - B.Deducted from the bank balance according to the bank statement
 - C.Added to the bank balance according to the bank statement
 - D.Added from the bank balance according to the depositor's records
27. A debit may signify:
 - A.A decrease in an asset account
 - B.An increase in the owner's capital account
 - C.An increase in asset account
 - D.An increase in liability account
28. Which one of the following account is not appear on post-closing trial balance?
 - A.Cash
 - B.notes payable
 - C.Revenue
 - D.Owner's equity
29. The balance in unearned revenue at the end a period represents:
 - A.An asset
 - B.A liability
 - C.A revenue
 - D.An expense
30. The use of pre-numbered checks in disbursing cash is an application of the principle of
 - A. Establishment of responsibility
 - B. physical controls
 - C. Segregation of duties
 - D. documentation procedure
31. Under what caption a temporary investment in stock would be reported in the balance sheet?
 - A.Plant assets
 - B.Current assets
 - C.Investments
 - D.None of the above
32. Assume at the end of the fiscal year, accounts receivable has a balance of 120,000 Birr and allowance for doubtful accounts has a balance of 15,000Birr Then the expected realizable value of the accounts receivable is:
 - A.15,000Birr
 - B.135,000Birr
 - C.105,000Birr
 - D.120,000Birr
33. Assume ABC Company had an owner's equity balance of 180,000Birr at beginning of the period at the end of the period, the company had total assets of 245,000Birr and total liabilities 25,000Birr had occurred during the period?
 - A.170,000 net income
 - B.170,000 net loss
 - C.15,000 net income
 - D.15,000 net loss
34. An example of an accelerated depreciation method is:
 - A.straight-line
 - B.double-declining-balance
 - C.units-of-production
 - D.Depletion.

35. The receipt of cash from customers in payment of their accounts would be recorded by:
 - A. a debit to Cash and a credit to Accounts Receivable.
 - B. a debit to Accounts Receivable and a credit to Cash.
 - C. a debit to Cash and a credit to Accounts Payable.
 - D. a debit to Accounts Payable and a credit to Cash.
36. Which of the following transactions would increase both assets and liabilities?
 - A. Purchase of equipment on credit
 - B. Payment of utility bills
 - C. Sale of inventory for cash
 - D. Withdrawal of cash by the owner
37. If a company receives cash from customers for services rendered, how does it affect the accounting equation?
 - A. Assets decrease, Liabilities decrease
 - B. Assets increase, Owner's Equity increases
 - C. Liabilities decrease, Owner's Equity decreases
 - D. Assets decrease, Liabilities increase
38. Which of the following represents the residual interest in the assets of the entity after deducting liabilities?
 - A. Assets
 - B. Liabilities
 - C. Owner's Equity
 - D. Revenue
39. What does the term "debit" indicate in accounting?
 - A. Increase in assets
 - B. Increase in liabilities
 - C. Increase in owner's equity
 - D. Increase in expenses
40. Which of the following represents the financial performance of a company over a specific period?
 - A. Statement of Financial Position
 - B. Statement of profit or loss
 - C. Statement of cash flow
 - D. Statement of changes in equity
41. Which financial statement provides a snapshot of a company's financial position at a specific point in time?
 - A. Statement of Financial Position
 - B. Statement of profit or loss
 - C. Statement of cash flow
 - D. Statement of changes in equity
42. What does it mean that **accrual basis** in accounting?
 - A. Recording revenue and expenses when cash is received or paid
 - B. Recording transactions at their fair market value
 - C. Recognizing revenue or expenses when earned or incurred, regardless of when cash is exchanged
 - D. Adjusting entries made at the beginning of the accounting period
43. What is the first step in the accounting cycle?
 - A. Journalizing transactions
 - B. Posting to ledger accounts
 - C. Analyzing transactions
 - D. Preparing financial statements .
44. According to the double-entry accounting system, every transaction affects:
 - A. One account only
 - B. Two accounts: one debited and one credited
 - C. Three accounts: one debited and two credited
 - D. Four accounts: two debited and two credited
45. Which of the following represents the correct order of steps in the accounting cycle?
 - A. Analyze transactions, post to ledger, prepare financial statements, journalize transactions
 - B. Journalize transactions, analyze transactions, post to ledger, prepare financial statements
 - C. Post to ledger, analyze transactions, journalize transactions, prepare financial statements
 - D. Analyze transactions, journalize transactions, post to ledger, prepare financial statements
46. Which financial statement is prepared first using the adjusted trial balance?
 - A. Statement of Financial Position
 - B. Statement of profit or loss
 - C. Statement of cash flow
 - D. Statement of changes in equity .
47. Which of the following accounts is unique to a merchandising business compared to a service- based business?
 - A. Accounts Receivable
 - B. Merchandising Inventory
 - C. Salaries Expense
 - D. Rent Expense
48. Under the periodic inventory system, when are inventory purchases recorded?
 - A. After each sale
 - B. At the end of the accounting period
 - C. Whenever physical inventory counts are conducted
 - D. Inventory purchases are not recorded under the periodic system
49. Which inventory system is more suitable for businesses with high-value, low-volume inventory items?
 - A. Perpetual inventory system
 - B. Periodic inventory system
 - C. Perpetual and periodic systems are equally suitable.
 - D. A periodic system is more suitable than perpetual system.
50. In a perpetual inventory system, when is the cost of goods sold (COGS) recorded?
 - A. At the end of the accounting period
 - B. After each sale

- C. At the beginning of the accounting period
D. Only during physical inventory counts
51. In a perpetual inventory system, which account is debited when merchandise is returned by a customer?
A. Inventory account
B. Sales Returns and Allowances account
C. Cost of Goods Sold (COGS) account
D. Accounts Receivable account
52. Which of the following statements is true regarding the perpetual inventory system?
A. It is only suitable for businesses with low-value, high-volume inventory items.
B. It updates inventory records continuously after each sale.
C. It requires physical inventory counts to determine the cost of goods sold (COGS).
D. It does not provide real-time information on inventory levels.
53. Which of the following best describes a merchandising business?
A. A business that provides services to customers
B. A business that manufactures goods for sale
C. A business that buys and sells goods to customers
D. A business that invests in financial assets
54. Which of the following statements is true about the operating cycle of a merchandising business?
A. It begins when inventory is purchased and ends when cash is received from customers.
B. It is shorter than the operating cycle of a service business.
C. It excludes the process of selling goods to customers.
D. It has no impact on the cash flow of the business.
55. If total assets decreased by Birr1,000 during a period of time and liabilities increased by Birr 2,000 during the same period, then the amount and direction (increase or decrease) of the period's changes in stockholder's equity is:
A. Birr1,000 increases
B. Birr 3,000 decrease
C. Birr3,000 increases
D. Birr1, 000 decreases
56. How does the rendering of services on account affect the accounting equation?
A. Liabilities increase; stockholder's equity decreases
B. Assets increase; liabilities increase
C. Assets decrease; stockholder's equity increases
D. Assets increase; stockholder's equity increases
57. If assets and liabilities at the beginning of the year were Birr 205,000 and Birr 140,000 respectively and at the end of the year were Birr 255,000 and Birr175, 000 respectively, calculate the net income if dividends of Birr 5,000 were paid and Birr 10,000 of additional capital stock was issued.
A. Net income of Birr10,000
B. Net loss of Birr15,000
C. Net income of Birr15, 000
D. Net income of Birr25,000
58. Which of the following financial statements reports information as of a point in time?
A. Retained earnings statement
B. Income statement
C. Statement of cash flows
D. Balance sheet
59. The financial statements are usually prepared in which of the following sequences?
A. Income Statement, Balance Sheet, Retained Earnings, Cash Flows
B. Balance Sheet, Retained Earnings, Cash Flows, Income Statement
C. Balance Sheet, Retained Earnings, Income Statement, of Cash Flows
D. Income Statement, Retained Earnings, Balance Sheet, Cash Flows
60. Hanna Maid Service began the year with total assets of Birr 120,000 and stockholders' equity of Birr 40,000. During the year the company earned Birr 90,000 in net income and paid Birr 20,000 in dividends. Total assets at the end of the year were Birr 215,000. Stockholder's equity at the end of the year was:
A. Birr130,000
B. Birr150,000
C. Birr110,000
D. Birr135,000
61. What is the purpose of an enterprise fund?
A. To fund ongoing operations and services
B. To account for the costs of goods and services provided to other departments within the same government entity
C. To establish reserves for unanticipated expenditures
D. To account for business-type activities that charge fees for services
62. Which of the following funds is used to account for endowments or other investments that are intended to be held in perpetuity?
A. Permanent fund
B. Debt service fund
C. Enterprise fund
D. Internal service fund
63. What is the purpose of a debt service fund?
A. To pay off government debt
B. To fund ongoing operations and services
C. To establish reserves for unanticipated expenditures
D. To account for resources used to pay principal and interest on long-term debts

64. Which of the following funds would be used to account for the financial resources that are used to support central services such as human resources, information technology or purchasing?
- General fund
 - Permanent fund
 - Debt service fund
 - Internal service fund
65. What is the primary goal of international Financial Reporting Standards (IFRS)?
- Harmonizing financial reporting globally
 - Maximizing shareholder wealth
 - Standardizing tax regulations
 - Controlling inflation
66. Which organization is responsible for developing and issuing IFRS?
- Financial Accounting Standards Board (FASB)
 - International Accounting Standards Board (IASB)
 - Securities and Exchange Commission (SEC)
 - International Monetary Fund (IMF)
67. What is the primary regulatory body responsible for setting financial reporting standards in Ethiopia?
- Financial Standards Board of Ethiopian
 - Accounting and Auditing Board of Ethiopian
 - Ethiopian Revenue and Customs Authority
 - Ministry of Finance and Economic Development
68. When a company operates in multiple countries and conducts transactions in different currencies, which of the following risks is most relevant to its financial reporting?
- credit risk
 - liquidity risk
 - exchange rate risk
 - Market risk.
69. Which of the following best describes the concept of the exchange rate?
- The rate at which one currency can be exchanged for another
 - The rate at which a currency depreciates over time
 - The rate at which a currency is issued by a central bank
 - The rate at which a currency is regulated by the government.
70. When a company has a foreign currency transaction and the exchange rate changes between the transaction date and settlement date, which of the following accounts is affected?
- Accounts receivable
 - Accounts payable
 - Prepaid expenses
 - Accrued liabilities.
71. Company A, based in the United States, imports goods from a supplier in Europe and agrees to pay €100,000. If the exchange rate is 1 EUR = 1.2 USD, what is the USD equivalent of the liability?
- \$80,000
 - \$100,000
 - \$120,000
 - \$125,000.
72. Company B, based in Europe, exports goods to a customer in the United States and invoices \$50,000. If the exchange rate is 1 EUR = 1.3 USD, what is the EUR equivalent of the revenue?
- €38,461.54
 - €50,000
 - €62,500
 - €65,000.
73. Which of the following is not a primary user of financial accounting information?
- Shareholders
 - Management
 - Regulatory authorities
 - Customers
74. What is the purpose of financial accounting?
- To provide information for internal decision-making
 - To facilitate strategic planning by management
 - To communicate financial information to external parties
 - To control and monitor internal operations
75. If a company is using the specific identification method of inventory costing, which of the following statements is true?
- The cost of each inventory item can be easily tracked and recorded.
 - It is likely that different units of inventory have different unit costs.
 - The company must have a sophisticated inventory tracking system.
 - All of the above are true.
76. A company has 100 units of inventory with a cost of Birr 50 per unit. On March 1, they purchase 150 additional units of inventory with a cost of Birr 60 per unit. On April 1, they sell 200 units of inventory. Using the FIFO method, what is the cost of goods sold?
- Birr 11,000
 - Birr 12,000
 - Birr 13,000
 - Birr 14,000
77. Which of the following asset must be depreciated over its useful life?
- Land
 - Buildings
 - Account receivable
 - Cash
78. Which of the following is an example of tangible fixed assets?
- Goodwill
 - Patents
 - Land and Buildings
 - Copyright
79. What is the main difference between amortization and depreciation?
- Amortization is for tangible assets, and depreciation is for intangible assets.
 - Amortization is for intangible assets, and depreciation is for tangible assets.

- C. Amortization is for natural resources, and depreciation is for patented technologies.
D. None
80. A company acquired a building for Birr 100,000 and estimates its useful life to be 25 years. What is the annual depreciation expense of the building in straight-line depreciation?
A. Birr 4,000
B. Birr 4,500
C. Birr 5,000
D. None of the above
81. When would a company use the revaluation model instead of the cost model for Property, Plant, and Equipment?
A. When the fair value of the asset can be reliably measured?
B. When the asset is difficult to value
C. When the company is experiencing financial difficulties
D. Not necessary at all
82. Which of the following is a limitation of using the cost model for Property, Plant, and Equipment?
A. It does not reflect changes in the asset's value
B. It provides a more accurate measure of an asset's economic benefits
C. It is more useful for heavily depreciated assets
D. Not necessary at all
83. Which of the following methods of depreciation is the most conservative?
A. Straight-line depreciation
B. Double-declining balance depreciation
C. Units-of-production depreciation
D. Not known
84. When should a company perform an impairment test for Property, Plant, and Equipment?
A. When there is evidence of a significant decrease in the asset's value
B. When the asset has been fully depreciated
C. When the asset is sold
D. Not known.
85. What are the advantages of a partnership form of business compared to a corporation?
A. Greater flexibility in ownership structure and tax advantages.
B. Greater access to financial capital and limited liability protection.
C. Greater management control and less complex legal requirements.
D. None of the above.
86. Which of the following is an example of a public enterprise in Ethiopia?
A. Ethiopian Airlines
B. Ethio Telecom
C. Dangote Cement Ethiopia
D. MOENCO
87. Which of the following is a characteristic of a public enterprise?
A. Privately owned and controlled
B. Run for profit
C. Governed by a board of directors
D. Regulated by the stock market
88. Which of the following is an internal factor affecting the operations of a public enterprise in Ethiopia?
A. Economic conditions
B. Political stability
C. Regulatory environment
D. Organizational culture
89. Impairment of an asset occurs when:
A. The asset's fair value exceeds its carrying amount
B. The asset's carrying amount exceeds its recoverable amount
C. The asset is sold for a profit
D. The asset is depreciated over time
90. The recoverable amount of an asset is the:
A. Original cost of the asset
B. Higher of its fair value less costs to sell and its value in use
C. Accumulated depreciation of the asset
D. Market value of the asset
91. Impairment loss on an asset is calculated as the difference between:
A. The asset's carrying amount and its fair value
B. The asset's historical cost and its recoverable amount
C. The asset's fair value and its value in use
D. The asset's carrying amount and its recoverable amount
92. How is fair value typically determined for a Level 1 asset?
A. Through discounted cash flow analysis
B. Based on quoted prices in an active market
C. Using management estimates
D. Through an independent appraisal
93. When measuring fair value, what does the term "exit price" refer to?
A. The price at which an asset could be acquired
B. The price at which an asset could be sold or transferred
C. The historical cost of the asset
D. The price at which an asset could be purchased
94. Which of the following is an example of a Level 3 input in the fair value hierarchy?
A. Quoted prices in an active market for identical assets
B. Inputs that are observable, but not considered to be the most reliable
C. Unobservable inputs that are developed using the reporting entity's own assumptions
D. Historical cost of an asset
95. When estimating the fair value of an asset, which approach involves estimating the present value of expected future cash flows?

- A. Market approach.
B. Income approach.
C. Cost approach.
D. Replacement cost approach.
96. Assets are best described as:
A. Money owned by the company
B. Debts owed to the company
C. Economic resources owned or controlled by the company
D. Investments in other companies
97. Which financial statement shows the results of a company's operations over a specific period of time?
A. Statement of owner's equity
C. Statement of profit or loss
B. Statement of financial position
D. Statement of cash flow.
98. What is the primary responsibility of AABE?
A. Taxation enforcement
C. Managing government budgets
B. Issuing accounting and auditing standards
D. Conducting financial audits
99. The economic entity assumption in financial accounting assumes that:
A. The business will continue operating indefinitely
B. The financial statements are prepared using historical cost
C. The business is separate from its owners and other entities
D. Financial information should be presented with a view to maximizing profits
100. Goods in transit which are shipped on FOB destination should be
A. Included in the inventory of the buyer
C. Included in the inventory of the shipping company
B. Included in the inventory of the seller
D. None of the above
101. On January 1, 2021 Selam Ltd. purchases equipment for Br. 65,000. Selam estimates the residual value of the equipment is Br. 5,000 with a four-year life. The company's fiscal year ends on December 31. What is the depreciation charge on December 31, 2021 if the company uses straight-line method?
A. Br. 32,500
C. Br. 60,000
B. Br. 15,000
D. Br. 70,000
102. The carrying amount of XYZ's equipment is Br. 500,000, its fair value less costs to sell is Br. 460,000, and its value-in-use is Br. 455,000. What is the amount of impairment?
A. Br. 45,000
C. Br. 5,000
B. Br. 40,000
D. No impairment
103. Impairment of an asset occurs when:
A. The asset's fair value exceeds its carrying amount
B. The asset's carrying amount exceeds its recoverable amount
C. The asset is sold for a profit
D. The asset is depreciated over time
104. The recoverable amount of an asset is the:
A. Original cost of the asset
C. Accumulated depreciation of the asset
B. Higher of its fair value less costs to sell and its value in use
D. Market value of the asset
105. Impairment loss on an asset is calculated as the difference between:
A. The asset's carrying amount and its fair value
B. The asset's historical cost and its recoverable amount
C. The asset's fair value and its value in use
D. The asset's carrying amount and its recoverable amount
106. What is the journal entry to record the write-off of an uncollectible account using the allowance method?
A. Debit Allowance for Doubtful Accounts, Credit Accounts Receivable
B. Debit Bad Debt Expense, Credit Allowance for Doubtful Accounts
C. Debit Accounts Receivable, Credit Allowance for Doubtful Accounts
D. Debit Bad Debt Expense, Credit Accounts Receivable
107. Which one of the following **not** describes cash?
A. Most illiquid asset
B. Basis for measuring and accounting for all items
C. Standard medium of exchange
D. Current asset
108. Which of the following item in a bank reconciliation that will result in an adjusting entry by the depositor?
A. Outstanding checks
C. Bank collections
B. Deposit in transit
D. Bank error
109. What is the primary purpose of accounting software in a computerized accounting system?
A. To manually record transactions
B. To calculate financial ratios
C. To store and process financial data efficiently
D. To eliminate the need for internal controls
110. Which of the following is a feature of computerized accounting systems?
A. Reliance on manual data entry
B. Limited reporting capabilities
C. Ability to automatically generate financial statements
D. Requirement of extensive paper-based records
111. Which of the following is a characteristic of a manual accounting system?

- A. Real-time processing of transactions
C. Reliance on paper-based records and journals
D. Automated generation of financial statements
112. Which of the following statements is true regarding the accuracy of financial reporting in manual and computerized accounting systems?
A. Manual systems are generally more accurate than computerized systems.
B. Computerized systems are generally more accurate than manual systems.
C. Both manual and computerized systems have similar levels of accuracy.
D. The accuracy of financial reporting depends solely on the type of system used.
113. How does the speed of processing transactions differ between manual and computerized accounting systems?
A. Manual systems process transactions faster than computerized systems.
B. Computerized systems process transactions faster than manual systems.
C. Both manual and computerized systems process transactions at the same speed.
D. The speed of processing transactions depends on the complexity of the transaction.
114. How does the level of accuracy in financial reporting differ between manual and computerized accounting systems?
A. Manual systems are generally more accurate than computerized systems.
B. Computerized systems are generally more accurate than manual systems.
C. Both manual and computerized systems have similar levels of accuracy.
D. The accuracy of financial reporting depends on external factors.
115. Green Company's ending inventory is understated 4,000 Birr. The effects of this error on the current year's cost of goods sold and net income, respectively, are:
A. Understated, overstated
B. Overstated, overstated
C. Overstated, understated
D. Understated, understated
116. When preparing a bank reconciliation, bank collections are:
A. Deducted from the bank statement balance.
B. Added to the balance per books.
C. Added to the bank statement balance
D. Deducted from the balance per books.
117. What is a joint arrangement in accounting?
A. A business owned and operated by a single entity
B. A partnership between two or more entities with shared control
C. A subsidiary controlled by a parent company
D. A government-controlled entity
118. Which of the following statement is true about joint arrangement?
A. They always involve full control by one party
B. They may involve joint control or significant influence
C. They are solely government-controlled entities
D. They are limited to two parties only
119. What is the primary characteristics of a joint control arrangement?
A. Full control by one party
B. Shared decision-making rights
C. Majority ownership by one party
D. Control exercised by a government entity
120. In a joint arrangement, what is joint control?
A. Full control by one party
B. Shared decision-making rights
C. Majority ownership by one party
D. Control exercised by a government entity
121. How are joint arrangements classified under IFRS?
A. Joint control only
B. Significant influence only
C. Joint control or significant influence
D. Sole control by one party
122. What is the main difference between a joint operation and a joint venture under IFRS?
A. Joint operations involve significant influence, while joint ventures involve joint control
B. Joint operations involve sole control, while joint ventures involve joint control
C. Joint operations are government-controlled entities, while joint ventures are private entities
D. There is no difference; the terms are used interchangeably
123. What type of arrangement involves sharing control and sharing risks and rewards, but does not results in a separate legal entity?
A. Joint control arrangement
B. Joint venture arrangement
C. Joint operation arrangement
D. Joint entity arrangement
124. Which type of joint arrangement involves joint control and results in a separate legal entity?
A. Joint operation
B. Joint control arrangement
C. Joint venture
D. Joint entity
125. Which type of joint arrangement involves the joint control parties having rights to the assets and obligations for the liabilities of the arrangements?
A. Joint venture
B. Joint operation
C. Joint control entity
D. Joint entity
126. What is the key characteristic of a joint operation?
A. Separate legal entity
B. Joint control
C. Significant influence
D. Sole control by one party
127. What distinguishes a joint venture from a joint operation?

- A. Joint ventures involve shared control, while joint operations involve unilateral control
 - B. Joint ventures always have three or more parties involved, while joint operations involve only two parties
 - C. Joint ventures are only recognized under local accounting standards, while joint operations are recognized under international accounting standards
 - D. Joint ventures are limited to specific industries, while joint operations can occur across various industries
128. XYZ Ltd has a 30% ownership interest in a joint venture. How should XYZ account for its investment in the joint venture under the equity method if the joint venture reports a profit of \$100,000?
- A. Recognize \$30,000 as revenue in XYZ's income statement
 - B. Recognize \$100,000 as revenue in XYZ's income statement
 - C. Recognize \$30,000 as a reduction in the carrying amount of the investment
 - D. Recognize \$100,000 as an increase in the carrying amount of the investment
129. What is the purpose of the post-closing trial balance?
- A. To ensure that debits equal credits after closing entries are made
 - B. To verify the accuracy of closing entries
 - C. To prepare financial statements
 - D. To analyze transactions before closing the books for the period
130. Which account is not closed at the end of the accounting period?
- A. Revenue accounts
 - B. Expense accounts
 - C. Dividend accounts
 - D. Asset accounts
131. Which of the following accounts is classified as a liability?
- A. Accounts Receivable
 - B. Prepaid Rent
 - C. Accounts Payable
 - D. Equipment
132. ABC Ltd. purchased equipment for Birr 800,000 by issuing a promissory note. Which accounts are affected by this transaction?
- A. Equipment increases; Notes Payable increases
 - B. Equipment increases; Cash increases
 - C. Equipment decreases; Notes Receivable decreases
 - D. Equipment decreases; Cash decreases
133. If a company records **Birr** 20,000 in depreciation expense for the period, which accounts are affected?
- A. Depreciation Expense increases; Accumulated Depreciation decreases
 - B. Depreciation Expense decreases; Accumulated Depreciation decreases
 - C. Depreciation Expense increases; Accumulated Depreciation increases
 - D. Depreciation Expense decreases; Accumulated Depreciation increases
134. Which costing method assigns fixed overhead costs to products?
- A. Variable costing
 - B. Activity-based costing
 - C. Standard costing
 - D. Absorption costing
135. Which cost changes in direct proportion to changes in the volume of production?
- A. Direct costs
 - B. Indirect costs
 - C. Variable costs
 - D. Fixed costs
136. What is the formula for contribution margin?
- A. Sales revenue - variable costs
 - B. Gross profit - fixed costs
 - C. Operating income - sales revenue
 - D. Cost of goods sold - operating expenses
137. Which of the following is an example of a fixed cost?
- A. Direct labor
 - B. Raw materials
 - C. Property taxes
 - D. Packaging materials
138. What is the difference between absorption costing and variable costing?
- A. Absorption costing assigns all manufacturing costs to products, while variable costing assigns only variable costs.
 - B. Absorption costing is used for internal decision-making, while variable costing is used for financial reporting.
 - C. Absorption costing provides a more accurate picture of product costs, while variable costing provides a better measure of profitability.
 - D. Absorption costing is used for long-term planning, while variable costing is used for short-term decision-making.
139. If a company records Birr 30,000 in prepaid insurance, which accounts are affected?
- A. Prepaid Insurance increases; Cash decreases
 - B. Prepaid Insurance increases; Insurance Expense increases
 - C. Prepaid Insurance decreases; Cash increases
 - D. Prepaid Insurance decreases; Insurance Expense increases
140. If a company pays rent for the current month, which accounts are affected?
- A. Rent Expense increases; Cash decreases
 - B. Rent Expense decreases; Cash decreases
 - C. Rent Expense increases; Accounts Payable decreases
 - D. Rent Expense increases; Accounts Payable increases .

141. In a merchandising business, which of the following represents the primary source of revenue?
- A. Investments
 - B. Sales of goods
 - C. Service fees
 - D. Interest income
142. Company P and company Q jointly control a manufacturing facility. How should the joint arrangement be classified under IFRS?
- A. Joint venture
 - B. Joint operation
 - C. Equity method
 - D. Consolidation
143. Company X has 40% ownership interest in a joint venture. If the joint venture reports a loss of \$50,000, how should company X account for its share of these loss under the equity method?
- A. Recognize \$40,000 as a reduction in the carrying amount of the investment
 - B. Deduct \$50,000 from the investment account
 - C. Ignore the loss until future profits offset it
 - D. Record the loss only when dividends are received
144. Company A sells a portion of its interest in a joint venture to company B. How should this transaction be accounted for under the equity method?
- A. Record a gain or loss on the sale and adjust the investment account
 - B. Recognize the transaction as revenue in the income statement
 - C. No accounting treatment is required for the sale of the interest
 - D. Record the transaction as an extraordinary item in the financial statements
145. How is a sales agency different from a branch operation in accounting?
- A. Sales agencies and branch operations are synonymous terms.
 - B. A sales agency is an independent entity, while a branch operation is a part of the main entity.
 - C. A branch operation is an independent entity, while a sales agency is a part of the main entity.
 - D. There is no difference; the terms are used interchangeably
146. In accounting for a branch operation, how are revenues and expenses typically treated?
- A. Included in the main entity's financial statements
 - B. Accounted for separately from the main entity
 - C. Ignored in the financial statements
 - D. Treated as extraordinary items
147. What is the primary accounting method used for branch operation?
- A. Equity method
 - B. Consolidation method
 - C. Cost method
 - D. Segment reporting method
148. How intercompany transactions between the main entity and its branch are usually accounted?
- A. Ignored in the financial statements
 - B. Recorded as revenue for the branch
 - C. Eliminated in consolidation
 - D. Recorded as an extraordinary item.
149. In a sales agency arrangement, who typically has control over decision-making and operations?
- A. The main entity
 - B. The sales agency
 - C. Both entities share control
 - D. Independent third parties
150. In the context of branch and home office accounting, what does "consolidation" refers to?
- A. Combining the financial statements of the branch and home office.
 - B. Eliminating intercompany transactions in the financial statements.
 - C. Recognizing the branch's equity separately in the consolidated financial statements.
 - D. Ignoring the financial statements of the branch in the consolidation process.
151. When preparing consolidated financial statements, what does an eliminating intercompany transaction involve?
- A. Recognizing intercompany transactions as revenue.
 - B. Adjusting the financial statements to remove transactions between the branch and home office.
 - C. Ignoring the impact of intercompany transactions.
 - D. Treating intercompany transactions as extraordinary items
152. What primary method of arranging a business combination where one company acquires another through the purchase of its net assets?
- A. Merger
 - B. Consolidation
 - C. Acquisition
 - D. Joint venture
153. Which method of business combination involves the creation of a new entity to which the combining companies transfer their net assets?
- A. Merger
 - B. Consolidation
 - C. Amalgamation
 - D. Purchase method
154. In a statutory merger, what happens to the combining companies?
- A. They continue to exist as separate legal entities
 - B. They dissolve, and a new entity is formed
 - C. They become subsidiaries of a new parent company
 - D. They enter into a joint venture agreement
155. In a leveraged buyout (LBO), how is the acquisition financed?
- A. Through stock issuance
 - B. With funds borrowed against the target company's assets
 - C. Through government grants
 - D. By issuing bonds

156. Which accounting standard provides guidance on business combinations?
 A. IFRS 9 C. IAS 16
 B. IFRS 3 D. IAS 38
157. In a hostile takeover, how does the acquiring company gain control of the target company?
 A. Through negotiation and agreement
 B. By purchasing a majority of the target company's stock without its approval
 C. By forming a joint venture D. Through a court order
158. In a vertical merger, what is the relationship between the combining companies?
 A. Supplier and customer C. Parent and subsidiary
 B. Competitors in the same industry D. Unrelated businesses
159. What is the primary reason for recognizing deferred tax liabilities and assets?
 A. To minimize current income tax payable C. To comply with tax regulations
 B. To smooth out fluctuations in income tax expense D. To adjust financial statements to tax accounting.
160. Deferred tax liabilities are recognized when:
 A. Taxable income exceeds book income C. Tax rates decrease
 B. Tax expense is greater than book income D. Tax expense is less than book income
161. How are deferred tax assets and liabilities affected when a temporary difference becomes permanent?
 A. Deferred tax assets decrease; deferred tax liabilities increase
 B. Deferred tax assets increase; deferred tax liabilities decrease
 C. Deferred tax assets are eliminated; deferred tax liabilities remain unchanged
 D. Deferred tax liabilities are eliminated; deferred tax assets remain unchanged.
162. What is the primary objective of share-based compensation?
 A. To reduce the company's tax liability
 B. To align the interests of employees with those of shareholders
 C. To increase earnings per share D. To comply with regulatory requirements.
163. Which of the following is a common form of share-based compensation?
 A. Bonuses C. Stock options
 B. Retirement plans D. Overtime pay
164. What is a bearer plant in agricultural accounting?
 A. Plants that bear fruits or nuts C. Plants used for landscaping purposes
 B. Plants that do not produce any agricultural produce D. Plants in the early stages of development.
165. How are costs related to the initial recognition of a bearer plant typically accounted for?
 A. Recognized at historical cost B. Recognized at fair value
 C. Recognized at net realizable value
 D. Ignored in financial statements until harvest.
166. Which accounting standard provides guidance on the accounting for bearer plants?
 A. IAS 41 – Agriculture B. IFRS 9 - Financial Instruments
 C. IAS 16 - Property, Plant and Equipment
 D. IFRS 15 - Revenue from Contracts with Customers.
167. How is the fair value of a bearer plant determined for accounting purposes?
 A. Historical cost minus accumulated depreciation C. Original purchase cost
 B. Market value on the reporting date D. Net realizable value at harvest
168. What is the main purpose of accounting for bearer plants in financial statements?
 A. Compliance with tax regulations
 B. Providing information about the entity's agricultural assets
 C. Reducing the complexity of financial reporting
 D. Minimizing depreciation expenses.
169. What is the primary characteristic of bearer plants in agricultural accounting?
 A. Annual production C. Short lifespan
 B. Multiple periods of produce D. Non-fruit-bearing
170. What is the role of the acquirer in a business combination?
 A. Maintain separate legal entities C. Allow the acquiree to operate independently
 B. Assume control over the acquiree D. Act as a passive investor
171. In a business combination, what is negative goodwill also known as?
 A. Bargain purchase gain C. Fair value adjustment
 B. Intangible asset D. Contingent consideration
172. What is the primary motive for a conglomerate merger?
 A. Synergy C. Cost reduction
 B. Diversification D. Market dominance
173. What is a "cash cow" in the context of business combination?

- A.A target company with a significant cash reserve
B.A method of financing acquisitions with cash
C.A business unit that generates consistent and substantial cash flows
D.A term for excessive cash compensation in a merger
174. Company P acquires 70% of a company Q for \$500,000. Calculate the goodwill to be recognized if the fair value of company Q's net assets is \$400,000.
A.\$220,000
B.\$350,000
C.\$280,000
D.\$100,000
175. Proprietary funds include which two types of funds in governmental accounting?
A.General Fund and Special Revenue Fund
B.Enterprise Fund and Internal Service Fund
C.Capital Project Fund and Debt Service Fund
D.General Revenue Fund and Capital Project Fund
176. What distinguishes enterprise funds from internal service funds in proprietary accounting?
A.Enterprise Funds serve external users, while Internal Service Funds serve internal users.
B.Internal Service Funds are for-profit, while Enterprise Funds are not.
C.Enterprise Funds are only used for long-term capital projects.
D.Internal Service Funds are restricted to a specific purpose
177. What is a primary function of financial institutions?
A.Manufacturing goods
B.Providing financial services
C.Offering healthcare services
D.Conducting legal services
178. Which type of financial institution primarily accepts deposits from the public and provides loans?
A.Commercial bank
B.Investment bank
C.Credit union
D.Insurance company
179. What is the primary function of a central bank in a country's financial system?
A.Providing consumer loans
B.Regulating and overseeing monetary policy
C.Offering investment advisory services
D.Facilitating international trade
180. What is the primary function of an insurance company?
A.Providing mortgage loans
B.Facilitating stock trading
C.Accepting deposits
D.Managing risks through the sale of insurance policies
181. What is the primary function of financial markets?
A.Manufacturing goods
B.Facilitating trade
C.Providing healthcare services
D.Providing a platform for buying and selling financial assets
182. Financial markets facilitates the transfer of:
A.Goods and services
B.Financial assets
C.Manufacturing equipment
D.Intellectual property
183. The money market is primarily associated with the trading of:
A.Long-term bonds
B.Stocks
C.Short-term debt securities
D.Real estate
184. What is operating leverage?
A.The use of debt to increase returns for shareholders.
B.The degree to which a firm uses fixed costs in its operations
C.The amount of financial risk associated with a firm's capital structure.
D.The variability of a firm's earnings before interest and taxes (EBIT) with changes in sales
185. Which capital structure theory emphasizes the relevance of both taxes and bankruptcy costs?
A.Modigliani and Miller's Proposition I with taxes
B.Modigliani and Miller's Proposition II without taxes
C.Trade-off theory
D.Pecking order theory
186. What does the Break-even point indicate in the context of operating leverage?
A.The point at which a firm covers all its fixed and variable costs.
B.The point at which a firm starts making profits.
C.The point at which a firm achieves its maximum sales.
D.The point at which a firm becomes bankrupt.
187. According to Modigliani and Miller's Proposition II without taxes, the cost of equity:
A.Increases with the use of debt.
B.Decreases with the use of debt.
C.Remains constant regardless of the capital structure.
D.Is irrelevant in determining the firm's value.
188. Which of the following is NOT a factor affecting the degree of operating leverage?
A.Fixed operating costs.
B.Variable operating costs.
C.Sales volume.
D.Financial leverage.

189. The optimal capital structure, according to the traditional approach, is achieved when:
 A. The cost of debt is minimized. B. The cost of equity is minimized.
 C. The weighted average cost of capital (WACC) is minimized.
 D. The earnings per share (EPS) is maximized.
190. Which theory suggests that firms have a preference for internal financing (retained earnings) over external financing?
 A. Modigliani and Miller's Proposition I
 B. Modigliani and Miller's Proposition II
 C. Trade-off theory D. Pecking order theory
191. What is the key assumption of Modigliani and Miller's Proposition II without taxes?
 A. The cost of debt is equal to the cost of equity.
 B. The value of the leveraged firm is independent of its capital structure.
 C. Taxes have no impact on the value of the leveraged firm.
 D. Financial distress costs are zero.
192. In the context of financial leverage, what does the term "break-even point" refer to?
 A. The point at which a firm covers all its fixed financial costs.
 B. The point at which a firm covers all its variable costs.
 C. The point at which a firm covers both fixed financial costs and variable costs.
 D. The point at which a firm achieves maximum profitability.
193. According to Modigliani and Miller's Proposition I without taxes, how is the value of a leveraged firm related to its capital structure?
 A. The value of the leveraged firm increases with the use of debt.
 B. The value of the leveraged firm decreases with the use of debt.
 C. The value of the leveraged firm is independent of its capital structure.
 D. The value of the leveraged firm is maximized when there is no debt.
194. According to Modigliani and Miller's Proposition I with taxes, how does the value of a leveraged firm compare to the value of an unleveraged firm?
 A. The leveraged firm is valued higher due to the tax shield on interest payments.
 B. The leveraged firm is valued lower due to the tax shield on interest payments.
 C. The leveraged and unleveraged firms have the same value.
 D. The leveraged firm is valued higher, but taxes do not play a role.
195. What does Modigliani and Miller's Proposition II without taxes state about the relationship between the cost of equity and the use of debt.
 A. The cost of equity increases linearly with the use of debt
 B. The cost of equity decreases linearly with the use of debt
 C. The cost of equity is independent of the use of debt
 D. The cost of equity is inversely proportional to the use of debt
196. What is the primary source of business risk for a company?
 A. Financial leverage
 B. Interest rate fluctuations
 C. Changes in market demand
 D. Currency exchange rates.
197. Which of the following is an example of operational risk?
 A. Changes in interest rates.
 B. Natural disasters
 C. Currency exchange rate fluctuations.
 D. Changes in market demand.
198. In a world without taxes, according to Modigliani and Miller's proposition-I, how does the capital structure affect the value of the firm?
 A. The value is maximized with more debt.
 B. The value is maximized with more equity
 C. The value is maximized with an equal mix of debt and equity
 D. The value is irrelevant to the capital structure
199. How does the market value of equity change in Modigliani and Miller's proposition-II with taxes as the debt-equity ratio increases?
 A. Increases linearly
 B. Decreases linearly
 C. Remains constant
 D. Depends on the corporate tax rate.
200. According to the traditional approach to capital structure, what is the optimal mix of debt and equity?
 A. 50% debt, 50% equity
 B. The mix that maximizes shareholder wealth
 C. The mix that minimizes financial leverage
 D. The mix that minimizes taxes.
201. According to the dividend irrelevance theory, how does the dividend policy of a company affect its stock price?
 A. Dividend policy affects stock price
 B. Dividend policy has no impact on stock price
 C. Stock price depends on earnings only
 D. Stock price depends on the industry
202. How does an increase in the dividend payout ratio impact a company's cost of equity?
 A. Increases the cost of equity
 B. Decreases the cost of equity
 C. Has no impact on the cost of equity
 D. Depends on the dividend yield
203. Which dividend policy is associated with a stable and predictable dividend payout each period?
 A. Constant dividend payout ratio
 B. Residual dividend policy
 C. Regular dividend policy
 D. Irregular dividend policy

204. How is the Net Realizable value (NRV) calculated for inventory?
 A. Cost - Market Value
 B. Selling Price - Selling Costs
 C. Cost - Estimated Selling Price
 D. Market Value - Selling Costs
205. In the context of LCNRV, when is the write-down of inventory necessary?
 A. When the historical cost exceeds the replacement cost
 B. When the estimated selling price is less than the original cost
 C. When the market value is higher than the selling price
 D. When the historical cost is lower than the net realizable value
206. Which of the following is the main purpose of applying LCNRV to inventory?
 A. Maximize reported profit
 B. Minimize tax liability
 C. Maintain historical cost accuracy
 D. Ensure inventory is fairly presented on the balance sheet
207. Which of the following best defines a business combination?
 A. a transaction where one company purchases another company's shares
 B. a transaction where two or more companies merge to form a new entity
 C. a transaction where a company acquires control over another company
 D. a transaction where companies engage in joint ventures for a specific project.
208. What is the primary objective of a business combination?
 A. to eliminate competition in the market
 B. to increase the number of shareholders in the acquiring company
 C. to achieve synergies and enhance shareholder value
 D. to comply with regulatory requirements.
209. Which accounting method is commonly used to account for business combinations?
 A. cost method
 B. equity method
 C. fair value method
 D. historical cost method.
210. When should a business combination be accounted for using the acquisition method?
 A. when the acquiring company purchases less than 20% of the target company's shares
 B. when the acquiring company gains control over the target company
 C. when the target company's shareholders retain control after the transaction
 D. when the business combination involves a merger of equals.
211. How is goodwill calculated in a business combination?
 A. it is the excess of the fair value of consideration transferred over the fair value of the identifiable net assets acquired
 B. it is the difference between the historical cost of the target company and the fair value of consideration transferred
 C. it is the difference between the market value of the acquiring company's shares and the market value of the target company's shares
 D. it is the amount paid by the acquiring company to the target company's shareholders.
212. Which of the following statements is true regarding the treatment of transaction costs in a business combination?
 A. transaction costs are capitalized as part of the cost of the acquisition
 B. transaction costs are expensed as incurred in the period in which they are accrued
 C. transaction costs are treated as part of goodwill calculation
 D. Transaction costs are excluded from the accounting for the business combination.
213. Under the equity method, how does the acquiring company account for its investment in the acquired company?
 A. by recognizing the fair value of the acquired company's assets and liabilities
 B. by recording its share of the acquired company's profits or losses in its income statement
 C. by consolidating the financial statements of the acquiring and acquired companies
 D. by recognizing the acquired company's assets and liabilities at historical cost.
214. Which of the following is a reason for conducting a business combination?
 A. to reduce the size of the acquiring company
 B. to eliminate competition in the market
 C. to achieve economies of scale and scope
 D. to maintain separate operations and identities.
215. How is non-controlling interest (NCI) treated in a business combination?
 A. NCI is recorded as a liability on the acquiring company's balance sheet.
 B. NCI is recorded as part of goodwill on the acquiring company's balance sheet.
 C. NCI is recorded as a separate equity item on the acquiring company's balance sheet.
 D. NCI is recorded as revenue on the acquiring company's income statement.
216. Which of the following is not a method of business combination?
 A. merger
 B. acquisition
 C. joint venture
 D. Consolidation.
217. What is a common defense mechanism used by target companies to resist hostile takeovers?
 A. poison pill
 B. white knight
 C. golden parachute
 D. crown jewel.
218. Which defense mechanism involves issuing new shares of stock to existing shareholders, diluting the acquirer's ownership stake?
 A. greenmail
 B. pac-man defense
 C. golden handshake
 D. crown jewel.

219. What does a white knight defense entail?
- the target company merges with a friendly suitor to avoid acquisition by a hostile bidder.
 - the target company issues debt to finance a large dividend payment, making the acquisition less attractive.
 - the target company sells off its most valuable assets to make itself less desirable to the acquirer.
 - the target company's management threatens to resign en masse if the acquisition proceeds.
220. What is the purpose of a capital projects fund?
- To pay off government debt
 - To fund ongoing operations and services
 - To fund specific projects or programs that involve construction, acquisition, or improvement of major capital facilities or infrastructure
 - To support political campaigns
221. Which of the following funds is used to account for the acquisition, construction, and maintenance of infrastructure assets?
- Enterprise fund
 - General fund
 - Internal service fund
 - Capital projects fund
222. What is the main objective of International Public Sector Accounting Standards (IPSAS)?
- To harmonize financial reporting standards across all public sector entities globally
 - To provide guidelines for anti-corruption and transparency in public sector entities
 - To ensure that public sector entities have consistent and fair accounting practices
223. What is the primary purpose of the cash basis IPSAS?
- To provide a framework for financial reporting based on accrual accounting principles
 - To provide guidance on how cash should be accounted for within a public sector entity
 - To ensure compatibility with the accrual basis IPSAS
224. Which of the following is NOT one of the Pillars of IPSASB's conceptual framework?
- Accountability
 - Control
 - Transparency
 - Comparability
225. Which of the following is NOT one of the components of Financial Statements as per IPSAS?
- Balance Sheet
 - Statement of Cash Flows
 - Statement of Financial Performance
 - Statement of Assets and Liabilities
226. Which of the following is NOT an IPSAS requirement for presentation of financial statements?
- Proper classification, presentation and disclosure of information
 - Disclosure of major components of net worth
 - Disclosure of contingent liabilities
 - Disclosure of revenue forecasts
227. what does a white knight defense entail?
- the target company merges with a friendly suitor to avoid acquisition by a hostile bidder.
 - the target company issues debt to finance a large dividend payment, making the acquisition less attractive.
 - the target company sells off its most valuable assets to make itself less desirable to the acquirer.
 - the target company's management threatens to resign end masse if the acquisition proceeds.
228. Which defense mechanism involves the target company making itself less attractive by taking on excessive debt or engaging in unfavorable financial transactions?
- crown jewel
 - scorched earth
 - poison pill
 - golden handshake.
229. which of the following is a characteristic of a merger?
- both companies maintain their separate identities.
 - one company purchases another company's shares.
 - the fair value of consideration transferred is recorded as goodwill.
 - shareholders of the merged companies receive shares in the new entity.
230. what is the primary difference between a merger and an acquisition?
- in a merger, both companies maintain their separate identities, while in an acquisition, one company gains control over the other.
 - in a merger, one company purchases another company's shares, while in an acquisition, both companies combine to form a new entity.
 - in a merger, goodwill is recognized as an asset, while in an acquisition, it is not.
 - in a merger, the fair value of consideration transferred is recorded as goodwill, while in an acquisition, it is not.
231. company a acquires 80% of the outstanding shares of company b, gaining control over its operations. which accounting method is most appropriate for company a to use to account for this business combination?
- cost method
 - fair value method
 - equity method
 - historical cost method.
232. Company X merges with company y to form a new entity, company Z. how should company Z account for the merger according to accounting standards?
- Recognize the fair value of assets and liabilities acquired from both company X and company Y.
 - Recognize the historical cost of assets and liabilities acquired from both company X and company Y.
 - Recognize the book value of assets and liabilities acquired from both company X and company Y.
 - Consolidate the financial statements of company X and company Y without any adjustments.

233. Company A enters into a joint venture with company B to develop a new product. How should company A account for its investment in the joint venture?
- Using the equity method
 - Using the fair value method
 - Using the cost method
 - Using the historical cost method.
234. Company X purchases 100% of the outstanding shares of company Y, gaining control over its operations. Which of the following statements is true regarding the accounting treatment of this acquisition?
- Goodwill is recognized as the difference between the purchase price and the book value of company Y's assets and liabilities.
 - Goodwill is not recognized in a 100% acquisition.
 - Goodwill is recognized if the acquisition price exceeds the fair value of company Y's identifiable net assets.
 - Goodwill is recognized only if the acquisition price is less than the fair value of company Y's identifiable net assets.
235. Company A acquires 70% of the outstanding shares of company B, gaining significant influence over its operations. Which accounting method is most appropriate for company A to use to account for this investment?
- Fair value method
 - Equity method
 - Historical cost method
 - Cost method.
236. Company A acquires 100% of the outstanding shares of company B in a business combination. How should the non-controlling interest (NCI) be presented in the consolidated financial statements?
- As a liability on the balance sheet
 - As a separate line item in the equity section of the balance sheet
 - As revenue in the income statement
 - As an expense in the income statement.
237. Company A acquires 80% of the outstanding shares of company B on January 1, 2021, for \$800,000. On that date, the fair value of company B's identifiable net assets is \$750,000. What amount of goodwill should be reported in the consolidated financial statements on the date of acquisition?
- \$50,000
 - \$200,000
 - \$640,000
 - \$800,000.
238. On the date of acquisition, company A determines that the fair value of company B's identifiable net assets is \$500,000, while the consideration transferred is \$550,000. How should the excess of consideration transferred over the fair value of identifiable net assets be treated in the consolidated financial statements?
- Recognized as an expense in the income statement
 - Recorded as an asset on the balance sheet
 - Recognized as goodwill on the balance sheet
 - Distributed to shareholders as dividends.
239. Company A acquires 90% of the outstanding shares of company B for \$700,000. On the date of acquisition, company B's identifiable net assets have a fair value of \$500,000. What is the amount of goodwill reported in the consolidated balance sheet on the date of acquisition?
- \$500,000
 - \$700,000
 - \$250,000
 - \$450,000.
240. Company X acquires 80% of the outstanding shares of company Y for \$800,000. On the date of acquisition, company Y's identifiable net assets have a fair value of \$600,000. What is the total equity reported in the consolidated balance sheet on the date of acquisition?
- \$600,000
 - \$640,000
 - \$800,000
 - \$920,000.
241. Company X acquires 85% of the outstanding shares of company Y for \$800,000. On the date of acquisition, company Y's identifiable net assets have a fair value of \$700,000. What is the goodwill reported in the consolidated balance sheet on the date of acquisition?
- \$800,000
 - \$50,000
 - \$100,000
 - \$205,000.
242. Company A acquires 100% of the outstanding shares of company B for \$1,000,000. On the date of acquisition, company B's identifiable net assets have a fair value of \$900,000. What is the total equity reported in the consolidated balance sheet on the date of acquisition?
- \$900,000
 - \$1,000,000
 - \$1,100,000
 - \$1,200,000.
243. Company A acquires 80% of the outstanding shares of company B for \$800,000. On the date of acquisition, company B's identifiable net assets have a fair value of \$700,000. What is the total equity reported in the consolidated balance sheet on the date of acquisition?
- \$700,000
 - \$800,000
 - \$940,000
 - \$1,000,000.
244. Which of the following statements is true regarding the reporting of gains or losses due to changes in exchange rates in the income statement?
- They are always reported as operating expenses.
 - They are reported as part of other comprehensive income.
 - They are recorded directly in retained earnings.
 - They are disclosed in the footnotes to the financial statements.

245. When a company has a foreign subsidiary, which of the following exchange rates is typically used to translate the subsidiary's financial statements into the reporting currency?
- historical exchange rate
 - average exchange rate
 - spot exchange rate
 - Forward exchange rate.
246. Company A, based in the United States, purchases inventory from a supplier in Europe for €100,000. The exchange rate at the time of purchase is 1 EUR = 1.2 USD. Subsequently, when the payment is made, the exchange rate has changed to 1 EUR = 1.3 USD. What amount should company A record as the cost of inventory in USD?
- \$100,000
 - \$120,000
 - \$130,000
 - \$108,333.33.
247. Company X, based in the United States, sells goods to a customer in Japan for ¥10,000,000. The exchange rate at the time of sale is 1 USD = 110 JPY. When the payment is received, the exchange rate has changed to 1 USD = 108 JPY. What amount should company X record as revenue in USD?
- \$90,909.09
 - \$91,743.12
 - \$92,592.59
 - \$100,000.
248. Company A, based in Canada, purchases equipment from a supplier in the United States for \$50,000 USD. The exchange rate at the time of purchase is 1 USD = 1.25 CAD. When the payment is made, the exchange rate has changed to 1 USD = 1.30 CAD. What amount should company A record as the cost of equipment in CAD?
- \$62,500
 - \$65,000
 - \$40,000
 - \$48,000.
249. Company X, based in the United States, receives a dividend payment of €50,000 from its subsidiary in Europe. The exchange rate at the time of receipt is 1 EUR = 1.1 USD. What amount should company X record as dividend income in USD if the exchange rate has changed to 1 EUR = 1.2 USD when the payment is deposited?
- \$55,000
 - \$50,000
 - \$45,454.55
 - \$40,000.
250. Company X, based in the United States, pays interest on a loan to a bank in Europe. The interest payment is €10,000, and the exchange rate at the time of payment is 1 EUR = 1.2 USD. What amount should company X record as the interest expense in USD?
- \$12,000
 - \$10,000
 - \$8,333.33
 - \$14,000.
251. Which of the following statements is true regarding the preparation of consolidated financial statements on the date of acquisition?
- Only the assets and liabilities of the subsidiary are included.
 - Only the equity method is used to account for the subsidiary.
 - The parent's and subsidiary's financial statements are combined using the acquisition method.
 - The parent's financial statements remain separate from the subsidiary's.
252. When preparing consolidated financial statements on the date of acquisition, how are intercompany transactions treated?
- Eliminated in full.
 - Recorded as revenue for the subsidiary.
 - Ignored completely.
 - Included in the parent's income statement.
253. How is goodwill calculated in the consolidated financial statements on the date of acquisition?
- It is calculated as the excess of the fair value of the subsidiary's identifiable net assets over the consideration transferred.
 - It is calculated as the excess of the subsidiary's net income over the parent's net income.
 - It is calculated as the difference between the subsidiary's book value and the fair value of its net assets.
 - It is calculated as the difference between the parent's book value and the fair value of its investment in the subsidiary.
254. Which financial statements are consolidated on the date of acquisition?
- Only the income statements.
 - Both the income statements and balance sheets.
 - Neither the income statements nor the balance sheets.
 - Only the balance sheets.
255. In the consolidated financial statements on the date of acquisition, how are unrealized profits on intercompany transactions treated?
- Recognized as revenue in the consolidated income statement.
 - Eliminated from the consolidated income statement and balance sheet.
 - Included in the subsidiary's equity section.
 - Recorded as goodwill in the consolidated balance sheet.
256. In the consolidated financial statements on the date of acquisition, how are unrealized profits on intercompany transactions treated?
- Recognized as revenue in the consolidated income statement.
 - Eliminated from the consolidated income statement and balance sheet.
 - Included in the subsidiary's equity section.
 - Recorded as goodwill in the consolidated balance sheet.
257. When preparing consolidated financial statements on the date of acquisition, what adjustment is made to the subsidiary's equity accounts?
- No adjustment is necessary.
 - All equity accounts are eliminated.

- C. Only the retained earnings account is eliminated.
D. Equity accounts are adjusted to fair value, and any excess is recorded as goodwill.
258. How are intra-group dividends treated in the consolidated financial statements on the date of acquisition?
A. They are included as part of the parent's revenue.
B. They are eliminated from the consolidated income statement.
C. They are recorded as an expense in the subsidiary's income statement.
D. They are reported as part of the subsidiary's equity.
259. Which of the following methods is used to account for investments in subsidiaries in the consolidated financial statements on the date of acquisition?
A. Equity method
B. Cost method
C. Fair value method
D. Acquisition method.
260. Which of the following methods involves the acquisition of one company by another?
A. Joint venture
B. Merger
C. Divestiture
D. Liquidation.
261. What is a business combination?
A. A merger of two unrelated businesses
B. the acquisition of one business by another
C. a collaboration between two competitors
D. the dissolution of a business entity.
262. Which one of the following account is not appear on post-closing trial balance?
A. Cash
B. Accounts receivable
C. Accounts payable
D. Rent expense
263. A firm had a beginning inventory of birr 20,000; its cost of goods sold was birr 75,000; its gross margin was birr 80,000; its sales were birr 140,000. The ending inventory was:
A. Birr 60,000
B. Birr 40,000
C. Birr 95,000
D. Birr 35,000
264. Which of the following is an example of intangible asset?
A. Equipment
B. Patent right
C. Car
D. Building
265. Net loss will result during a time period when:
A. Assets exceed liabilities
B. Assets exceed revenues
C. Expenses exceed revenues
D. Revenues exceed expenses
266. The receipt of cash from customers in payment of their accounts would be recorded by a:
A. Debit to account receivable; credit to cash
B. Debit to cash; credit to accounts payable
C. Debit to accounts payable; credit to cash
D. None of the above
267. Which of the following is an internal user of accounting information?
A. Creditors
B. Government agencies
C. Management
D. Inventors
268. Which of the following represents the resources owned by a business?
A. Liabilities
B. Assets
C. Owner's Equity
D. Revenue
269. If a company borrows money from a bank, how does it affect the accounting equation?
A. Assets increase, Liabilities increase
B. Assets decrease, Owner's Equity decreases
C. Liabilities decrease, Owner's Equity increases
D. Assets decrease, Liabilities increase
270. What does the accounting equation demonstrate?
A. The relationship between assets and liabilities
B. The relationship between assets and revenue
C. The relationship between assets, liabilities, and owner's equity
D. The relationship between expenses and revenue
271. In a merger, what happens to the separate legal entities of the companies involved?
A. they are dissolved
B. they remain intact
C. they are combined into a new legal entity
D. they become subsidiaries of a larger entity.
272. Which method of arranging a business combination typically involves a purchase of a controlling interest in another company?
A. merger
B. acquisition
C. divestiture
D. joint venture.
273. Which method of arranging a business combination involves two or more companies combining to form a new entity?
A. joint venture
B. merger
C. acquisition
D. divestiture
274. What is a leveraged buyout (LBO)?
A. a method of arranging a business combination
B. the process of selling off assets or subsidiaries
C. a joint venture between competitors
D. the acquisition of a company using a significant amount of debt financing
275. Which method of arranging a business combination involves the acquisition of a company by its own management team with the help of external financing?
A. merger
B. acquisition
C. management buyout (MBO)
D. joint venture

276. which accounting method is commonly used for business combinations?
 A.cost method C.fair value method
 B.equity method D.historical cost method
277. under the fair value method, how are the assets and liabilities of the acquired company recorded?
 A.at their historical cost C.at their fair value on the acquisition date
 B.at their book value D.at zero value
278. what is the primary objective of accounting for business combinations?
 A.to increase taxation C.to hide the true financial position
 B.to provide accurate financial reporting D.to manipulate earnings
279. which of the following statements is true regarding the treatment of goodwill in a business combination?
 A.goodwill is amortized over its useful life. C.goodwill is subject to impairment testing annually.
 B.goodwill is never recorded in a business combination. D.goodwill is recorded as a liability.
280. in a business combination, if the consideration transferred exceeds the fair value of the net identifiable assets acquired, what is the treatment of the excess amount?
 A. recorded as a liability C.recorded as goodwill
 B.recorded as a gain on the income statement D.recorded as a loss on the income statement.
281. which of the following is not a typical motive for a business combination?
 A.synergy C.tax evasion
 B.diversification D.economies of scale.
282. which method of accounting for business combinations is based on the concept of 'pooling of interests'?
 A.purchase method C.equity method
 B.fair value method D.acquisition method
283. under the acquisition method, how are the assets and liabilities of the acquired company initially recognized?
 A.at fair value C.at book value
 B.at historical cost D.at zero value.
284. which of the following is an example of horizontal integration in a business combination?
 A.a manufacturer acquiring a supplier C.a manufacturer acquiring a competitor
 B.a manufacturer acquiring a retailer D.a manufacturer acquiring a customer.
285. which accounting standard requires that a business combination be accounted for using the acquisition method?
 A.IFRS 3 C. IAS 38
 B.GAAP D. SEC regulations.
286. what is the primary objective of recognizing and measuring contingent assets and liabilities in a business combination?
 A.to inflate reported assets and liabilities C.to minimize disclosure requirements
 B.to provide transparency in financial reporting D.to manipulate earnings
287. which of the following is a characteristic of a conglomerate merger?
 A.involves companies operating in the same industry C.results in increased market competition
 B.involves companies operating in different industries D.typically results in cost synergies
288. when preparing consolidated financial statements on the date of acquisition, how are the assets and liabilities of the acquired company typically recognized?
 A.at historical cost C.at fair value on the acquisition date
 B.at book value D.at zero value
289. how is goodwill calculated in the consolidated financial statements on the date of acquisition?
 A.the excess of consideration transferred over the fair value of net identifiable assets acquired
 B.the historical cost of the acquired company
 C.the book value of the acquired company
 D.the fair value of the acquired company's tangible assets
290. which of the following statements is true regarding the treatment of minority interest (non-controlling interest) in the consolidated financial statements on the date of acquisition?
 A.minority interest is recognized as a liability.
 B.minority interest is recognized as a gain on the income statement.
 C.minority interest is recognized as equity in the consolidated balance sheet.
 D.minority interest is ignored for accounting purposes.
291. how are transaction costs, such as advisory fees and legal fees, typically accounted for in the consolidated financial statements on the date of acquisition?
 A.capitalized as part of the acquisition cost C.expensed immediately in the period incurred
 B.recorded as a liability D.ignored for accounting purposes
292. which financial statement is primarily affected by the recognition of goodwill in the consolidated financial statements on the date of acquisition?
 A.income statement C.cash flow statement
 B.balance sheet D.statement of retained earnings.
293. in preparing consolidated financial statements on the date of acquisition, how are the assets and liabilities of the acquired company typically classified?

- A.as non-current assets and liabilities
B.as current assets and liabilities
C.as discontinued operations
D.as extraordinary items
294. which of the following adjustments is made to the acquired company's balance sheet when preparing consolidated financial statements on the date of acquisition?
A.recognition of contingent liabilities
B.recognition of contingent assets
C.elimination of intra-group transactions
D.recognition of goodwill amortization
295. when preparing consolidated financial statements on the date of acquisition, how is goodwill treated in subsequent periods?
A.it is amortized over its useful life.
B.it is recognized as a gain on the income statement.
C.it is recognized as a liability.
D.it is subject to impairment testing annually.
296. in preparing consolidated financial statements on the date of acquisition, how are the acquired company's revenue and expenses treated?
A.recognized separately from the acquiring company's revenue and expenses
B.combined with the acquiring company's revenue and expenses without any adjustments
C.eliminated to avoid double counting
D.ignored for accounting purposes
297. in preparing consolidated financial statements on the date of acquisition, how are minority interest (non-controlling interest) adjustments typically recorded?
A.as a reduction to revenue
B.as a reduction to expenses
C.as an adjustment to equity
D.as an adjustment to liabilities
298. in preparing consolidated financial statements on the date of acquisition, how are the financial statements of the acquired company typically adjusted?
A.they are combined with the financial statements of the acquiring company without any adjustments.
B.they are restated to reflect fair value adjustments and eliminated intra-group transactions.
C.they are ignored for accounting purposes.
D.they are recognized as a separate entity within the consolidated financial statements.
299. which of the following adjustments is made to the acquired company's income statement when preparing consolidated financial statements on the date of acquisition?
A.recognition of goodwill amortization
B.recognition of contingent liabilities
C. elimination of intra-group revenue and expenses
D. recognition of deferred tax assets
300. when preparing consolidated financial statements on the date of acquisition, how are minority interest (non-controlling interest) adjustments typically calculated?
A.as a percentage of the acquiring company's revenue
B.as a percentage of the acquired company's net income
C.as a percentage of the acquired company's equity
D.as a percentage of the total consolidated revenue
301. what is the primary objective of accounting for foreign exchange rates?
A.to minimize foreign currency risk
B.to accurately reflect the financial position and performance of the entity
C.to maximize profits from currency fluctuations
D.to manipulate financial statements
302. which of the following statements is true regarding the translation of foreign currency transactions?
A.transactions denominated in foreign currency are always translated at historical exchange rates.
B.transactions denominated in foreign currency are translated at the spot rate on the transaction date.
C.transactions denominated in foreign currency are translated at the spot rate on the financial statement date.
D.transactions denominated in foreign currency are translated at the average exchange rate for the reporting period.
303. when a company has foreign currency denominated monetary assets or liabilities, which exchange rate is typically used for translation purposes?
A.historical exchange rate
B.spot rate on the transaction date
C.spot rate on the financial statement date
D.average exchange rate for the reporting period
304. what is the treatment of foreign exchange gains or losses arising from the translation of monetary assets and liabilities in the financial statements?
A.they are recognized in other comprehensive income.
B.they are recognized as a component of revenue.
C.they are recognized as a component of cost of goods sold.
D.they are recognized in the income statement.
305. which of the following statements is true regarding the translation of non-monetary assets and liabilities denominated in foreign currency?
A.they are translated at the historical exchange rate.
B.they are translated at the spot rate on the financial statement date.
C.they are translated at the average exchange rate for the reporting period.
D.they are translated at the spot rate on the transaction date.

306. when a company has investments in foreign subsidiaries, how are the financial statements of those subsidiaries typically translated?
- A. using the historical exchange rate
 - B. using the spot rate on the transaction date
 - C. using the spot rate on the financial statement date
 - D. using the average exchange rate for the reporting period
307. what is the treatment of foreign exchange gains or losses arising from the translation of investments in foreign subsidiaries in the financial statements?
- A. they are recognized in other comprehensive income.
 - B. they are recognized as a component of revenue.
 - C. they are recognized as a component of cost of goods sold.
 - D. they are recognized in the income statement.
308. how are foreign exchange gains or losses arising from the translation of non-monetary assets and liabilities typically reported in the financial statements?
- A. as revenue or expense in the income statement
 - C. as part of other comprehensive income
 - B. as adjustments to equity
 - D. as part of cost of goods sold
309. in a hyperinflationary economy, which exchange rate is typically used to translate financial statements into the reporting currency?
- A. spot rate on the transaction date
 - B. spot rate on the financial statement date
 - C. historical exchange rate
 - D. temporal exchange rate
310. when a company has foreign currency-denominated debt, how are foreign exchange gains or losses typically treated?
- A. they are recognized as revenue in the income statement.
 - B. they are recognized as a component of cost of goods sold.
 - C. they are recognized in the income statement.
 - D. they are ignored for accounting purposes.
311. which of the following factors does not typically influence foreign exchange rates?
- A. interest rates
 - C. political stability
 - B. inflation rates
 - D. dividend payouts
312. What is a joint venture?
- A. A business combination where one company acquires another
 - B. A temporary partnership between two or more entities for a specific project
 - C. A merger of two unrelated businesses
 - D. A divestiture of assets by a company
313. Which of the following methods involves the acquisition of one company by another?
- A. Joint venture
 - C. Divestiture
 - B. Merger
 - D. Liquidation
314. What is a business combination?
- A. A merger of two unrelated businesses
 - B. The acquisition of one business by another
 - C. A collaboration between two competitors
 - D. The dissolution of a business entity
315. In a merger, what happens to the separate legal entities of the companies involved?
- A. They are dissolved
 - B. They remain intact
 - C. They are combined into a new legal entity
 - D. They become subsidiaries of a larger entity
316. Which method of arranging a business combination typically involves a purchase of a controlling interest in another company?
- A. Merger
 - C. Divestiture
 - B. Acquisition
 - D. Joint venture
317. Which method of arranging a business combination involves two or more companies combining to form a new entity?
- A. Joint venture
 - C. Acquisition
 - B. Merger
 - D. Divestiture
318. What is a leveraged buyout (LBO)?
- A. A method of arranging a business combination
 - B. The process of selling off assets or subsidiaries
 - C. A joint venture between competitors
 - D. The acquisition of a company using a significant amount of debt financing
319. Which method of arranging a business combination involves the acquisition of a company by its own management team with the help of external financing?
- A. Merger
 - C. Management buyout (MBO)
 - B. Acquisition
 - D. Joint venture
320. What is a joint venture?
- A. A business combination where one company acquires another
 - B. A temporary partnership between two or more entities for a specific project

- C. The process of selling off assets or subsidiaries
D. The dissolution of a business entity
321. Which type of joint arrangement involves the joint control of the assets and liabilities of the arrangement?
A. Joint operation
B. Joint venture
C. Joint control entity
D. Joint venture entity
322. What is a joint control entity?
A. A business combination where one company acquires another
B. A temporary partnership between two or more entities for a specific project
C. An entity over which two or more parties have joint control
D. The dissolution of a business entity
323. Which type of joint arrangement involves the establishment of a separate entity in which the parties involved have joint control?
A. Joint operation
B. Joint venture
C. Joint control entity
D. Jointly controlled assets
324. In a joint venture, how do the parties typically share control and risks?
A. Equally
B. Based on their contribution to the venture
C. Based on their respective market shares
D. Based on their hierarchical position
325. What is a joint operation?
A. A business combination where one company acquires another
B. A temporary partnership between two or more entities for a specific project
C. An arrangement where the parties involved have joint control over the assets and liabilities
D. The dissolution of a business entity
326. Company A, based in the United States, acquires a building in the United Kingdom for £500,000. The exchange rate at the time of acquisition is 1 GBP = 1.4 USD. What amount should company A record as the cost of the building in USD?
A. \$700,000
B. \$350,000
C. \$500,000
D. \$420,000.
327. Company X, based in the United States, has a subsidiary in Japan. The subsidiary reports net income of ¥10,000,000 for the year. The exchange rate at the end of the year is 1 USD = 105 JPY. What amount should company X record as the subsidiary's net income in USD?
A. \$100,000
B. \$95,238.10
C. \$90,476.19
D. \$104,761.90.
328. Company A, based in the United States, enters into a forward contract to purchase inventory from a supplier in Europe for €100,000. The forward contract specifies an exchange rate of 1 EUR = 1.25 USD. When the inventory is received, the spot rate is 1 EUR = 1.3 USD. What amount should company A record as the cost of inventory in USD?
A. \$125,000
B. \$130,000
C. \$100,000
D. \$80,000.
329. Company X, based in Canada, sells goods to a customer in the United States for \$50,000 USD. The exchange rate at the time of sale is 1 USD = 1.25 CAD. What amount should company X record as revenue in CAD?
A. \$62,500
B. \$50,000
C. \$40,000
D. \$80,000.
330. Company A, based in the United States, has a subsidiary in Australia. The subsidiary reports net income of AU\$100,000 for the year. The exchange rate at the end of the year is 1 USD = 1.5 AUD. What amount should company A record as the subsidiary's net income in USD?
A. \$100,000
B. \$66,666.67
C. \$75,000
D. \$150,000.
331. Which accounting method is commonly used for business combinations?
A. Cost method
B. Equity method
C. Fair value method
D. Historical cost method
332. Under the fair value method, how are the assets and liabilities of the acquired company recorded?
A. At their historical cost
B. At their book value
C. At their fair value on the acquisition date
D. At zero value
333. What is the primary objective of accounting for business combinations?
A. To increase taxation
B. To provide accurate financial reporting
C. To hide the true financial position
D. To manipulate earnings
334. Which of the following statements is true regarding the treatment of goodwill in a business combination?
A. Goodwill is amortized over its useful life.
B. Goodwill is never recorded in a business combination.
C. Goodwill is subject to impairment testing annually.
D. Goodwill is recorded as a liability
335. In a business combination, if the consideration transferred exceeds the fair value of the net identifiable assets acquired, what is the treatment of the excess amount?
A. Recorded as a liability
B. Recorded as a gain on the income statement
C. Recorded as goodwill
D. Recorded as a loss on the income statement

336. Which of the following is NOT a typical motive for a business combination?
- Synergy
 - Diversification
 - Tax evasion
 - Economies of scale
337. Which method of accounting for business combinations is based on the concept of 'pooling of interests'?
- Purchase method
 - Fair value method
 - Equity method
 - Acquisition method
338. Under the acquisition method, how are the assets and liabilities of the acquired company initially recognized?
- At fair value
 - At historical cost
 - At book value
 - At zero value
339. Which of the following statements is true regarding the treatment of contingent liabilities in a business combination?
- Contingent liabilities are not recorded.
 - Contingent liabilities are recognized at fair value.
 - Contingent liabilities are recorded at historical cost.
 - Contingent liabilities are recorded at zero value.
340. In a business combination, how are transaction costs, such as advisory fees and legal fees, typically accounted for?
- Amortized over time
 - Recorded as an expense in the period incurred
 - Capitalized as part of the acquisition cost
 - Ignored for accounting purposes
341. Which of the following statements accurately describes the treatment of minority interest in a consolidated financial statement resulting from a business combination?
- Minority interest is recorded at historical cost.
 - Minority interest is recorded at fair value.
 - Minority interest is ignored for consolidation purposes.
 - Minority interest is recorded at zero value
342. In a business combination, what is the formula for calculating goodwill?
- Consideration transferred - Fair value of net identifiable assets acquired
 - Consideration transferred + Fair value of net identifiable assets acquired
 - Consideration transferred / Fair value of net identifiable assets acquired
 - Fair value of net identifiable assets acquired - Consideration transferred
343. How are non-controlling interests (NCI) in a subsidiary typically presented in the consolidated financial statements?
- As a separate line item within liabilities
 - As a deduction from equity
 - As part of the parent company's revenue
 - As a separate line item within expenses
344. Which of the following is an example of horizontal integration in a business combination?
- A manufacturer acquiring a supplier
 - A manufacturer acquiring a retailer
 - A manufacturer acquiring a competitor
 - A manufacturer acquiring a customer
345. What is the primary objective of recognizing and measuring contingent assets and liabilities in a business combination?
- To inflate reported assets and liabilities
 - To provide transparency in financial reporting
 - To minimize disclosure requirements
 - To manipulate earnings
346. Which of the following is a characteristic of a conglomerate merger?
- Involves companies operating in the same industry
 - Involves companies operating in different industries
 - Results in increased market competition
 - Typically results in cost synergies
347. Which of the following is an example of an internal control procedure over cash?
- Allowing the same employee to handle all cash transactions
 - Requiring dual signatures on all checks above a certain amount
 - Keeping cash receipts in an unlocked drawer
 - Using the same cash register for both cash sales and credit sales
348. What is the primary purpose of internal controls over cash?
- To maximize cash inflows
 - To safeguard cash assets and ensure accurate financial reporting
 - To minimize cash outflows
 - To expedite cash transactions
349. Which of the following is a segregation of duties control related to cash?
- The cashier is responsible for both receiving cash and reconciling the bank statement
 - The same employee approves and signs checks
 - Different employees handle cash receipts and cash disbursements
 - Only one employee is responsible for all cash transactions
350. Which of the following is an example of a physical control over cash?
- Requiring employees to take vacations regularly
 - Locking cash in a secure safe or vault
 - Conducting surprise audits of cash registers
 - Rotating job responsibilities among employees
351. In a computerized accounting system, what is the purpose of backup?
- To prevent unauthorized access to financial data
 - To reduce the risk of data loss
 - To automate the reconciliation process
 - To generate financial reports
352. Which of the following is a disadvantage of a manual accounting system compared to a computerized system?

- A. Greater risk of data loss and high storage cost
 - B. Reduced need for training
 - C. Higher initial cost of implementation
 - D. Accurate and quick data processing
353. How does a computerized accounting system maintain the accuracy of data between controlling accounts and subsidiary ledgers?
- A. By manually reconciling the balances at the end of each accounting period
 - B. By automatically updating the controlling accounts based on transactions in the subsidiary ledgers
 - C. By eliminating the need for controlling accounts in favor of subsidiary ledgers
 - D. By relying solely on external auditors to verify the accuracy of data
354. What is the primary benefit of using subsidiary ledgers in a computerized accounting system?
- A. To increase the complexity of the accounting process
 - B. To eliminate the need for internal controls
 - C. To track detailed information for specific controlling accounts
 - D. To simplify the reconciliation process
355. What type of transactions is typically recorded in a sales journal in a computerized accounting system?
- A. Transactions related to the purchase of inventory
 - B. Transactions related to the sale of goods or services on credit
 - C. Transactions related to the payment of salaries
 - D. Transactions related to the acquisition of fixed assets
356. Which of the following transactions would typically be recorded in a purchases journal in a computerized accounting system?
- A. Cash sales of inventory
 - B. Credit sales of inventory
 - C. Purchase of inventory on credit from suppliers
 - D. Payment of salaries to employees
357. Which of the following transactions would typically be recorded in a cash receipts journal in a computerized accounting system?
- A. Payment of accounts payable to suppliers
 - B. Receipt of cash from customers for sales made on credit
 - C. Purchase of equipment for cash
 - D. Payment of salaries to employees
358. In a computerized accounting system, which special journal is used to record transactions related to the payment of expenses?
- A. Sales journal
 - B. Cash receipts journal
 - C. Purchases journal
 - D. Cash payments journal
359. In a computerized accounting system, which special journal is used to record transactions related to the purchase of inventory on credit?
- A. Sales journal
 - B. Cash receipts journal
 - C. Purchases journal
 - D. Cash payments journal
360. What is the primary objective of financial reporting according to the IASB's conceptual framework?
- A. To provide information about an entity's economic resources and claims
 - B. To ensure compliance with tax regulations
 - C. To maximize shareholder wealth
 - D. To minimize business risks
361. Which of the following qualitative characteristics of financial information is associated with information being complete, free from error, and representing the substance of economic events?
- A. Relevance
 - B. Comparability
 - C. Understandability
 - D. Faithful representation
362. According to the IASB's conceptual framework, which of the following enhances the comparability of financial information?
- A. Consistency
 - B. Materiality
 - C. Relevance
 - D. Timeliness
363. Which of the following is a characteristic of financial information that ensures it is capable of making a difference in decision-making?
- A. Understandability
 - B. Timeliness
 - C. Verifiability
 - D. Relevance
364. Which qualitative characteristic of financial information emphasizes the importance of financial information being free from bias and prejudice?
- A. Relevance
 - B. Reliability
 - C. Comparability
 - D. Neutrality
365. Which qualitative characteristic of financial information ensures that it faithfully represents the economic substance of transactions?
- A. Relevance
 - B. Reliability
 - C. Comparability
 - D. Faithful representation
366. Which qualitative characteristic of financial information ensures that it is free from error and faithfully represents what it purports to represent?

- A.Relevance
B.Reliability
- C.Comparability
D.Understandability
367. Which qualitative characteristic of financial information ensures that it is timely and available to users when needed?
A.Reliability
B.Relevance
C.Understandability
D.Timeliness
368. Which qualitative characteristic of financial information ensures that it can be verified or confirmed by independent observers?
A.Relevance
B.Comparability
C.Neutrality
D.Verifiability
369. Which qualitative characteristic of financial information emphasizes the importance of consistency in presentation over time?
A.Comparability
B.Reliability
C.Understandability
D.Materiality
370. When is fair value measurement used in financial reporting?
A.Only for tangible assets such as property and equipment
B.Only for financial assets and liabilities
C.For both financial and non-financial assets and liabilities
D.Only for intangible assets such as goodwill
371. Which accounting standard provides guidance on fair value measurement?
A.IFRS 9
B.IAS 16
C.IAS 36
D.IAS 38
372. What is impairment in accounting?
A.An increase in the value of an asset
B.A decrease in the value of an asset
C.The historical cost of an asset
D.The fair value of an asset
373. When is an impairment loss recognized in financial statements?
A.When the fair value of an asset exceeds its carrying amount
B.When the carrying amount of an asset exceeds its recoverable amount
C.When the fair value of an asset exceeds its recoverable amount
D.When the recoverable amount of an asset exceeds its fair value
374. How is impairment loss calculated for an asset?
A.It is calculated as the difference between the fair value and the carrying amount of the asset.
B.It is calculated as the difference between the recoverable amount and the carrying amount of the asset.
C.It is calculated as the difference between the historical cost and the fair value of the asset.
D.It is calculated as the difference between the net realizable value and the carrying amount of the asset.
375. What is the recoverable amount of an asset?
A.The amount at which an asset could be bought or sold in a current transaction between willing parties
B.The fair value of an asset
C.The higher of an asset's fair value less costs of disposal and its value in use
D.The net realizable value of an asset
376. What is the recoverable amount of an asset?
A.The amount at which an asset could be bought or sold in a current transaction between willing parties
B.The fair value of an asset
C.The higher of an asset's fair value less costs of disposal and its value in use
D.The net realizable value of an asset
377. In fair value measurement, which of the following best describes Level 3 inputs?
A.Observable inputs that are based on quoted prices in active markets for identical assets or liabilities
B.Unobservable inputs that are based on the entity's own assumptions about market participants' assumptions
C.Inputs that are observable and are developed using the best information available
D.Inputs that are directly observable or can be corroborated by observable market data
378. Which accounting standard specifies the criteria for recognizing and measuring impairment losses on assets?
A.IFRS 9
B.IAS 36
C.IAS 16
D.IAS 38
379. When determining the recoverable amount of an asset, what does "value in use" represent?
A.The amount at which an asset could be bought or sold in an active market
B.The fair value of an asset less costs of disposal
C.The present value of the future cash flows expected to arise from the asset's continued use
D.The net realizable value of the asset
380. Which of the following is NOT a circumstance that might indicate impairment of an asset?
A.A significant decrease in the market value of the asset
B.Significant changes in the technological, market, economic, or legal environment in which the entity operates
C.Evidence of obsolescence or physical damage to the asset
D.An increase in the carrying amount of the asset
381. In fair value measurement, which level of the fair value hierarchy places the greatest emphasis on observable inputs?

- A. Level 1
B. Level 2
D. There is no hierarchy in fair value measurement
- C. Level 3
382. When is an impairment loss recognized for an asset under IFRS?
A. When the fair value of the asset exceeds its carrying amount
B. When the recoverable amount of the asset exceeds its carrying amount
C. When the carrying amount of the asset exceeds its fair value less costs to sell
D. When the carrying amount of the asset exceeds its value in use
383. Which of the following factors should be considered when determining the fair value of an asset or liability?
A. The entity's historical cost of acquiring the asset
B. The entity's future cash flows from using the asset
C. The price that would be received to sell the asset in an orderly transaction between market participants
D. The carrying amount of the asset in the entity's financial statements
384. How does the fair value hierarchy classify the inputs used to determine fair value?
A. Into three categories: Level 1, Level 2, and Level 3
B. Into two categories: primary inputs and secondary inputs
C. Into four categories: current, historical, future, and estimated inputs
D. Into five categories: observable, unobservable, reliable, unreliable, and estimated inputs
385. Under IFRS, how is an impairment loss calculated for an asset?
A. It is calculated as the difference between the asset's fair value and its carrying amount.
B. It is calculated as the difference between the asset's recoverable amount and its fair value.
C. It is calculated as the difference between the asset's carrying amount and its recoverable amount.
D. It is calculated as the difference between the asset's value in use and its fair value less costs to sell.
386. Which of the following is NOT a circumstance that might indicate impairment of an asset?
A. A significant decline in the asset's market value
B. Adverse changes in the asset's physical condition
C. Significant changes in market interest rates
D. A decrease in the asset's carrying amount
387. When should a receivable be recognized in the financial statements?
A. When cash is received from the customer
B. When the invoice is issued to the customer
C. When the goods or services are delivered to the customer
D. When the payment terms of the receivable expire
388. How are trade receivables typically classified on the balance sheet?
A. As current liabilities
B. As non-current assets
C. As current assets
D. As intangible assets
389. Which of the following is NOT a common type of receivable?
A. Trade receivables
B. Notes receivable
C. Accounts payable
D. Loans receivable
390. Which of the following is NOT an example of a trade receivable?
A. Amounts due from customers for goods sold on credit
B. Loans made to employees for personal expenses
C. Amounts due from suppliers for goods purchased on credit
D. Amounts due from distributors for goods sold on credit
391. What is the purpose of establishing a petty cash fund as part of internal control over cash?
A. To have a separate fund for large cash transactions
B. To increase accountability for small cash disbursements
C. To decrease the need for bank reconciliations
D. To provide a reserve for unexpected cash shortages
392. What is the primary objective of internal control over cash?
A. To eliminate the need for cash transactions
B. To ensure the safeguarding of cash assets
C. To maximize the amount of cash on hand
D. To minimize the amount of cash held in bank accounts
393. What is the primary purpose of a bank reconciliation?
A. To identify errors made by the bank
B. To ensure that the bank's records match the company's records
C. To expedite the deposit of funds into the bank account
D. To minimize bank charges and fees
394. Which of the following items would be added to the bank statement balance when preparing a bank reconciliation?
A. Outstanding checks
B. Bank service charges
C. Deposits in transit
D. NSF (Non-Sufficient Funds) checks
395. Which of the following adjustments would be made to the company's books when preparing a bank reconciliation?
A. Adding bank service charges
B. Deducting deposits in transit

- C. Adding NSF checks
D. Deducting outstanding checks
396. What adjustment would be made if a check issued by the company for \$500 was recorded by the bank as \$50?
A. Deduct \$450 from the company's books
C. Deduct \$450 from the bank statement
B. Add \$450 to the company's books
D. Add \$450 to the bank statement
397. Which of the following adjustments would be made if a bank service charge of \$25 was recorded on the bank statement?
A. Deduct \$25 from the company's books
C. Deduct \$25 from the bank statement
B. Add \$25 to the company's books
D. Add \$25 to the bank statement
398. Which of the following adjustments would be made if a deposit of \$1,000 was recorded on the bank statement but not in the company's books?
A. Add \$1,000 to the company's books
C. Add \$1,000 to the bank statement
B. Deduct \$1,000 from the company's books
D. Deduct \$1,000 from the bank statement
399. When should a company recognize revenue from the sale of goods or services?
A. When the customer places an order
B. When the goods or services are delivered to the customer
C. When the customer pays for the goods or services
D. When the company receives a purchase order
400. Which of the following is true regarding the recognition of trade receivables?
A. Trade receivables are recognized when payment is received from the customer.
B. Trade receivables are recognized when goods or services are delivered to the customer.
C. Trade receivables are recognized when an invoice is issued to the customer.
D. Trade receivables are recognized when the customer places an order.
401. What is the purpose of the allowance for doubtful accounts?
A. To increase reported revenue
B. To decrease reported revenue
C. To estimate and recognize potential losses from uncollectible accounts
D. To adjust the carrying amount of inventory
402. Which of the following is an example of an internal control procedure related to cash receipts?
A. Reconciling bank statements monthly
B. Reviewing and approving customer credit limits
C. Separating duties for receiving and recording cash
D. Recording cash transactions at the end of each day
403. What is the purpose of segregating duties in cash handling?
A. To increase the risk of fraud
C. To minimize errors in cash handling
B. To expedite cash transactions
D. To decrease the need for internal audits
404. Which of the following is a special inventory valuation technique used for high-value items or unique products?
A. FIFO (First-In-First-Out)
C. Weighted Average Cost
B. LIFO (Last-In-First-Out)
D. Specific Identification
405. Which inventory valuation technique averages the cost of items in stock, assigning an equal cost to each unit?
A. FIFO
C. Weighted Average Cost
B. LIFO
D. Specific Identification
406. In which situation is the specific identification method most commonly used?
A. Retail businesses
C. Jewelry stores
B. Manufacturing businesses
D. Supermarkets
407. What is the primary objective of applying the Lower-of-Cost-or-Net Realizable Value (LCNRV) method to inventory?
A. To maximize reported profits
B. To minimize reported profits
C. To ensure inventory is valued at its highest possible cost
D. To ensure inventory is not overstated on the balance sheet
408. Under the LCNRV method, how is the value of inventory determined?
A. By taking the highest of the cost or market value
B. By taking the lowest of the cost or market value
C. By averaging the cost and market value
D. By disregarding the market value
409. In the LCNRV method, when is inventory written down to its net realizable value?
A. When the historical cost exceeds the net realizable value
B. When the market value exceeds the historical cost
C. When the net realizable value exceeds the historical cost
D. When the net realizable value is lower than the market value
410. Under the LCNRV method, how does the recognition of a write-down impact the income statement?
A. It increases net income
C. It has no impact on net income
B. It decreases net income
D. It increases revenue
411. Which of the following situations would prompt an adjustment under the LCNRV method?
A. When market value exceeds historical cost.
B. When there is a decrease in demand for the product.

- C. When there is an increase in production costs. D. When there is a seasonal fluctuation in sales.
412. What is the main drawback of using the LCNRV method for inventory valuation?
- A. It may lead to overstatement of inventory value.
 B. It requires frequent adjustments and re-evaluations.
 C. It is not compliant with international accounting standards.
 D. It is only suitable for companies with low inventory turnover.
413. Identify the wrong statement
- A. Taxation has insignificant effect on consumption and employment pattern
 B. Taxes are compulsory payments to the government
 C. Tax imposes duty of payment on person who is liable to it
 D. Tax receipts are commonly used for the production of public goods
414. One of the following is not true about category "C" tax payers
- A. The payment of such tax is made with one month
 B. They are expected to maintain all Book account
 C. A standard assessment method is used to determine the income tax liability
 D. Their annual turnover is less than 500,000 birr per annum.
415. Which of the following is not true about similarity of public and private finance?
- A. Both the private and public finance have the same objective, viz, the satisfaction of human wants
 B. Both private and public finance aim at maximum satisfaction.
 C. Both public and private finance aims at individual benefit
 D. Both the individual and Government face the problem of economic choice.
416. Which one of the following not among the important causes for tax evasion?
- A. Multiplicity of Tax Laws C. High Rates of Taxation
 B. Complicated Tax Laws D. Single Tax Laws
417. Which of the following not among revenues assigned to the state/regional governments of Ethiopia?
- A. Customs duties, taxes and other charges levied on the importation and exportation of goods.
 B. Profit and sales taxes collected from individual traders operating within state territories
 C. Income taxes collected from employees of the States/regional government and of private enterprises
 D. Taxes collected from rent of houses and State/regional government owned properties
418. Which of the following not among revenues assigned to the federal governments of Ethiopia?
- A. Customs duties, taxes and other charges levied on the importation and exportation of goods.
 B. Income tax collected from employees of the Federal Government and international organizations
 C. Income taxes collected from employees of the States/regional government and of private enterprises
 D. Taxes collected from national lotteries and other games of chance; taxes collected from income generated through air, rail, and sea transport services;
419. In the payment of tax, there is no direct quid pro quo to the taxpayers is:-
- A. Common Interest C. Benefit is not the Basic Condition
 B. Legal Collection D. Tax is a Compulsory Contribution
420. A government objectives of taxation is that ensuring to economic stability of the country by:
- A. Providing essential goods to the society C. Exemptions tax from exported product
 B. Imposing low tax rate at inflation time D. Imposing high tax rate at inflation time
421. The following are the main sources of Tax Revenue in Ethiopian, **except**
- A. Tax on Income C. Tax on property
 B. Tax on personal income D. Tax on commodities
422. Rates of Turnover Tax on consultant, printing, and training service in Ethiopia is:-
- A. 2% C. 10%
 B. 15% D. 30%
423. Which one of the following of taxing system is imposed on the movement of goods through a political border?
- A. Consumption Taxes
 B. Customs Duties Tax
 C. Foreign Trade Taxes
 D. Stamp Duties Tax

424. A form of taxation that is basically imposed on the services given to individuals through affixing seals is known as
 A. Stamp Duties Tax
 B. Customs Duties Tax
 C. Foreign Trade Taxes
 D. Withholding Tax
425. Which one of the following is correct regarding category of tax?
 A. Category of tax "B"; Annual income is lies between 500, 000 up to 1,000,000.
 B. Category of tax "A"; Annual income is below 1,000,000.
 C. Category of tax "C"; Annual income is below 500,000.
 D. A & C
426. Which one of the following is among the important causes for tax evasion?
 A. Simple of tax laws
 B. Complicated tax laws
 C. Low rates of taxation
 D. Effective tax enforcement
427. Which of the following are the objectives of taxation by the Government?
 A. Raising revenue for the state
 B. To maintain economic stability
 C. To remove disparities in the distribution of income
 D. All
428. Which of the following is time period for the declaration and payment of turnover tax by the category 'B' taxpayers?
 A. Within four months from the end of the tax payers tax year.
 B. Within two months from the tax payers tax year
 C. Each three-month period commencing from the first day of the Ethiopian fiscal year
 D. On the 7th day of July to the 6th day of August each fiscal year Gregorian calenderer
429. Which of the following is/are not among the basic objectives of excise taxes?
 A. Raising revenue for economic growth
 B. Discouraging consumption of non-essential goods
 C. Levy of duties where direct taxation is not possible
 D. Discouragement of exports
430. Which one of the following cannons is not formulated by Adam Smith?
 A. Canon of Equality of Benefit
 B. Canon of Elasticity
 C. Canon of Certainty
 D. Canon of Convenience
431. The following are the main sources of Tax Revenue in Ethiopia, **except**:
 A. Tax on Income
 B. Tax on commodities
 C. Tax on property
 D. None of the above
432. The taxation principle or canon which states that taxpayers should be able to understand the taxes that they pay in time and amount to decrease errors, improve compliance and facilitate tax planning:-
 A. Simplicity
 B. Fairness
 C. Certainty
 D. Economy of collection
433. One of the following is the primary or basic objectives of taxation.
 A. Redirecting private investment
 B. Reducing regional imbalances
 C. Ensuring economic stability
 D. Raising revenue by a government to finance its expenditures
 E. All of the above
434. Chala earned Br 5,000 and paid Br 500 in income tax; and Kebede earned 7,000 and paid Br 700 in income tax. The tax rate structure they are subject to is:
 A. Progressive
 B. Proportional
 C. Regressive
 D. Digressive
435. Which of the following is NOT a direct tax?
 A. Income tax
 B. Property tax
 C. Excise tax
 D. All of the above
436. What is the main purpose of a tax system?
 A. To generate revenue for the government
 B. To regulate the economy
 C. To redistribute income
 D. All of the above
437. What is the main purpose of a tax expenditure?
 A. To increase revenue for the government
 B. To reduce tax liability for taxpayers
 C. To regulate the economy
 D. None of the above
438. What is the difference between a tax credit and a tax deduction?
 A. A tax credit reduces the amount of tax owed, while a tax deduction reduces taxable income.
 B. A tax credit reduces taxable income, while a tax deduction reduces the amount of tax owed.
 C. A tax credit and a tax deduction have the same effect on taxes.
 D. A tax credit is only available to individuals, while a tax deduction is only available to businesses.
439. Which of the following taxes is typically levied on goods and services?
 A. Property tax
 B. Corporate tax
 C. Excise tax
 D. Estate tax

440. What is a tax base?
 A. The amount of money that the government collects in taxes
 B. The amount of income that is subject to tax
 C. The rate at which a tax is levied
 D. The number of taxpayers in a given area
441. What is a tax loophole?
 A. A legal way to reduce taxable income or avoid paying taxes
 B. A type of tax evasion
 C. A tax that is levied on a specific activity or product
 D. A tax credit that is available to all taxpayers
442. Which of the following is a source of government revenue in Ethiopia?
 A. Foreign aid
 B. Voluntary donations
 C. Fees for public services
 D. All of the above
443. Which of the following is a characteristic of a regressive tax system?
 A. Tax rates increase as income increases
 B. Tax rates decrease as income increases
 C. Tax rates remain constant as income increases
 D. Tax rates are based on a fixed amount
444. Which of the following is a disadvantage of a tax system that relies heavily on foreign aid?
 A. It can create a dependency on foreign countries
 B. It can increase corruption and inefficiency
 C. It can lead to high inflation rates
 D. It can reduce economic growth
445. Which of the following taxes is imposed on the profits of businesses in Ethiopia?
 a. Excise tax
 b. Sales tax
 c. Income tax
 d. Property tax
446. What is the main purpose of public finance?
 A. To increase private sector profits
 B. To ensure equal distribution of income
 C. To increase government spending
 D. To reduce the size of government
447. What is a progressive tax system?
 A. A tax system where high income earners pay a lower percentage of their income in taxes than low income earners
 B. A tax system where low income earners pay a lower percentage of their income in taxes than high income earners
 C. A tax system where everyone pays the same amount of tax
 D. A tax system where only corporations pay taxes
448. What is tax evasion?
 A. Failing to pay taxes that are owed
 B. Legally avoiding taxes
 C. Paying too much in taxes
 D. A tax on imported goods
449. Which of the following is an example of direct tax?
 A. Sales tax
 B. Income tax
 C. Excise tax
 D. Value-added tax
450. What is taxation?
 A. A voluntary contribution to the government
 B. A forced contribution to the government
 C. A payment to a private entity
 D. A gift to a political party
451. Which of the following is the main objective of taxation?
 A. To increase government spending
 B. To reduce income inequality
 C. To promote economic growth
 D. To decrease government debt
452. Which of the following is not true about the incidence of taxation?
 A. Incidence of a tax is related to money burden of a tax on a person who ultimately bears it.
 B. Incidence of a tax falls on those persons who bear the first responsibility of paying it to the tax authorities.
 C. When the money burden of a tax finally settles or comes to rest on the ultimate taxpayer, then it is the incidence of a tax.
 D. The incidence of a tax rests on the person who cannot shift the money burden of a tax to any other person.
453. What is a governmental fund?
 A. A fund that helps people in need
 B. A fund that is controlled by the government
 C. A fund that supports political campaigns
 D. A fund that provides scholarships
454. Which of the following is not an example of a governmental fund?
 A. General fund
 B. Special revenue fund
 C. Debt service fund
 D. Investment fund
455. What is the purpose of a special revenue fund?
 A. To pay off government debt
 B. To fund ongoing operations and services
 C. To fund specific projects or programs
 D. To support political campaigns
456. Which of the following funds is used to account for trust and fiduciary activities of the government?
 A. General fund
 B. Capital projects fund
 C. Permanent fund
 D. Agency fund
457. What is the purpose of the IPSAS Cash Basis?
 A. To provide a framework for accounting for cash transactions in the public sector
 B. To provide a framework for accounting for revenue recognition in the public sector
 C. To provide a framework for accounting for long term liabilities in the public sector

458. Why is it important for public sector entities to adopt IPSAS?
- To provide transparency and accountability for financial reporting
 - To standardize how financial reports are prepared
 - To comply with global accounting standards
459. What is the purpose of the IPSASB's Conceptual Framework?
- To provide guidance for the development of new international public sector accounting standards
 - To state the purpose and objectives of public sector financial statements
 - To explain the underlying concepts and principles that guide the development of IPSAS
460. What is the difference between IPSAS and IFRS?
- IPSAS is for public sector organizations, while IFRS is for private sector organizations.
 - IPSAS is based on cash basis accounting, while IFRS is based on accrual basis accounting.
 - There is no difference between IPSAS and IFRS.
461. Which of the following is NOT a type of fund?
- General Fund
 - Restricted Fund
 - Permanent Fund
 - Contingency Fund
462. Which type of fund is used for expenses related to operating a government entity?
- General Fund
 - Capital Fund
 - Special Revenue Fund
 - Permanent Fund
463. Which type of fund is used to account for specific revenue sources, such as grants or taxes?
- Capital Fund
 - Debt Service Fund
 - Special Revenue Fund
 - Fiduciary Fund
464. Which type of fund is used to account for the accumulation of resources for the purpose of future expenditures?
- Debt Service Fund
 - Capital Projects Fund
 - Permanent Fund
 - Restricted Fund
465. Which type of fund is used to account for resources that are held in trust for others?
- Debt Service Fund
 - Fiduciary Fund
 - Special Revenue Fund
 - Capital Projects Fund
466. Which type of accounting system is typically used for Enterprise Funds?
- Accrual Basis
 - Modified Accrual Basis
 - Cash Basis
 - None of the above
467. Which of the following is NOT an example of an activity typically accounted for in an Enterprise Fund?
- Airport operations
 - Public library services
 - Transit services
 - Golf course operations
468. What is the main difference between an Enterprise Fund and an Internal Service Fund?
- An Enterprise Fund charges fees to external users while an Internal Service Fund charges fees to departments within the same government entity.
 - An Enterprise Fund does not charge fees while an Internal Service Fund does.
 - Only private sector entities use Internal Service Funds.
 - There is no difference between an Enterprise Fund and an Internal Service Fund.
469. Which of the following expenses would typically be included in an Enterprise Fund's financial statements?
- Salary and wages of government officials
 - Purchase of land for a new park
 - Maintenance of a water treatment plant
 - Payment of bond principal and interest
470. What is the purpose of a special revenue fund?
- To provide funding for general government operations
 - To account for revenue from specific services or activities
 - To fund capital projects
 - None of the above
471. Which of the following is the most common source of special revenue?
- Federal grants
 - Property taxes
 - Sales taxes
 - Fees and charges
472. Which of the following statements is true regarding the treatment of contingent liabilities in a business combination?
- contingent liabilities are not recorded.
 - contingent liabilities are recognized at fair value.
 - contingent liabilities are recorded at historical cost.
 - contingent liabilities are recorded at zero value.
473. In a business combination, how are transaction costs, such as advisory fees and legal fees, typically accounted for?
- amortized over time
 - recorded as an expense in the period incurred
 - capitalized as part of the acquisition cost
 - ignored for accounting purposes
474. Which of the following statements accurately describes the treatment of minority interest in a consolidated financial statement resulting from a business combination?
- Minority interest is recorded at historical cost.
 - Minority interest is recorded at fair value.

- C.Minority interest is ignored for consolidation purposes. D.Minority interest is recorded at zero value
475. In a business combination, what is the formula for calculating goodwill?
 A.Consideration transferred - fair value of net identifiable assets acquired
 B.Consideration transferred + fair value of net identifiable assets acquired
 C.Consideration transferred / fair value of net identifiable assets acquired
 D.Fair value of net identifiable assets acquired - consideration transferred.
476. Which of the following is not a method of structuring a business combination?
 A.Merger C.Divestiture
 B.Acquisition D.Consolidation
477. how are non-controlling interests (nci) in a subsidiary typically presented in the consolidated financial statements?
 A.as a separate line item within liabilities C.as part of the parent company's revenue
 B.as a deduction from equity D.as a separate line item within expenses.
478. Which of the following is a primary assumption of CVP analysis?
 A.Cost behavior is fully variable in the short run.
 B.Total costs are linear within the relevant range.
 C.Fixed costs will remain constant despite changes in sales volume.
 D.Variable costs will increase as sales volume increases.
479. What is the primary focus of CVP (Cost-Volume-Profit) analysis?
 A.Sales revenue C.Breakeven point
 B.Cost behavior D.Profitability
480. What is the formula for total cost in CVP analysis?
 A.Total cost = fixed cost + variable cost per unit
 B.Total cost = fixed cost / contribution margin per unit
 C.Total cost = variable cost per unit / contribution margin per unit
 D.Total cost = contribution margin per unit / variable cost per unit
481. What is the formula for breakeven point in units?
 A.Breakeven point in units = fixed costs / contribution margin per unit
 B.Breakeven point in units = sales revenue / variable cost per unit
 C.Breakeven point in units = variable costs / contribution margin per unit
 D.Breakeven point in units = contribution margin per unit / variable cost per unit
482. What is the contribution margin ratio?
 A.The percentage of sales revenue that is variable costs
 B.The percentage of sales revenue that is fixed costs
 C.The percentage of sales revenue that is profit
 D.The percentage of variable costs that is contribution margin
483. Company X acquires 70% of the outstanding shares of company Y for \$700,000. On the date of acquisition, the fair value of company Y's identifiable net assets is \$600,000. How much should be reported as non-controlling interest (NCI) in the consolidated balance sheet on the date of acquisition?
 A.\$180,000 C.\$280,000
 B.\$100,000 D.\$600,000.
484. Company A acquires 100% of the outstanding shares of company B for \$1,000,000. On the date of acquisition, company B's assets have a fair value of \$900,000 and liabilities have a fair value of \$400,000. What is the total equity reported in the consolidated balance sheet on the date of acquisition?
 A.\$1,500,000 C.\$500,000
 B.\$1,000,000 D.\$900,000.
485. Company X acquires 100% of the outstanding shares of company Y for \$1,000,000. On the date of acquisition, company Y's identifiable net assets have a fair value of \$800,000. What is the total non-controlling interest (NCI) reported in the consolidated balance sheet on the date of acquisition?
 A.\$0 C.\$400,000
 B.\$200,000 D.\$600,000.
486. Which of the following is an example of indirect financing?
 A.an SSU purchasing a financial claim from a commercial bank
 B.an SSU purchasing a financial claim from an underwriter
 C.an SSU purchasing a financial claim from a DSU
 D.an SSU purchasing a financial claim from a dealer
487. Primary capital markets are most likely to finance
 A.raw materials C.operating expenses
 B.plant and equipment D.none
488. Which of the following is not a characteristic of money market instruments?
 A.low default risk C.high marketability
 B.short-term to maturity D.small denomination

489. To increase the money supply immediately, the government would most likely
- A. Lower the Discount Rate
 - B. Lower reserve requirements
 - C. Buy securities on the open market
 - D. Issues a treasury bond
490. An increase (shift to right) in the supply of loanable funds (SL) may not be related to:
- A. An increase in the money supply.
 - B. An increase in personal income taxes.
 - C. An increase in household thriftiness.
 - D. An increase in household income.
491. Deficit spending units (DSU) are represented in loanable funds theory as
- A. demanders of loanable funds.
 - B. suppliers of loanable funds.
 - C. DSUs are not represented in the loanable funds theory of interest rate determination.
 - D. demanders of financial claims.
492. Which of the following is the best alternative for small investors to invest in a money market?
- A. locally; their credit union
 - B. indirectly; negotiable CDs
 - C. directly; commercial paper
 - D. indirectly; money market mutual funds
493. Which of the following money market instruments would typically be used in international transactions?
- A. a Treasury bill
 - B. commercial paper
 - C. a banker's acceptance
 - D. a negotiable CD
494. The purchase of one million dollars of Treasury Bonds, delivered in 60 days, from a government securities dealer is:
- A. a call option
 - B. a forward contract
 - C. a swap
 - D. a put
495. Which of the following statements best defines audit sampling?
- A. It is a statistical technique used to review all financial transactions of a company.
 - B. It is a procedure used by auditors to select a portion of a company's financial transactions to test.
 - C. It is a process used to evaluate the quality of a company's internal controls.
 - D. It is an audit procedure used to detect fraudulent activities in a company's financial statements.
496. What is the objective of audit sampling?
- A. To test every transaction in a company's financial statements.
 - B. To obtain reasonable assurance that the financial statements are free from material misstatement.
 - C. To evaluate the quality of the company's internal controls.
 - D. To identify and prevent fraudulent activities in a company's financial statements.
497. Which of the following factors should be considered when determining the sample size for an audit?
- A. The auditor's personal preferences.
 - B. The amount of the company's assets.
 - C. The level of risk associated with the account being audited.
 - D. The company's profit margin.
498. Which of the following sampling techniques is used to select a sample that is representative of the population being tested?
- A. Cluster sampling.
 - B. Stratified sampling.
 - C. Systematic sampling.
 - D. Random sampling.
499. Which is not the objective of Operational audit?
- A. Evaluating Unit performance in relation to established criteria
 - B. Assuring that all operating reports are on constant basis
 - C. Assuring operational efficiency and economy
 - D. Assuring fair presentation of financial statements
500. A management assertion category which asserts whether particular components of an account is properly classified and disclosed is
- A. Valuation
 - B. Existence and occurrence
 - C. Presentation and disclosure
 - D. Right and obligations
501. An audit objective which addresses whether all asset recorded really exist on the balance sheet date is
- A. Completeness
 - B. cut off
 - C. Existence
 - D. Accuracy
502. A file that includes working papers applicable to the year under audit is
- A. Current files
 - B. Account balance
 - C. Permanent files
 - D. Audit report
503. Audit report is the final steps in the entire audit process among the standard, collecting and accumulating sufficient and appropriate evidence is expressed in which paragraph of audit report.
- A. Additional paragraph
 - B. Scope paragraph
 - C. Opinion paragraph
 - D. Introductory paragraph
504. Which of the following situation/s/ allow the auditor to add one or more modification of paragraphs should be included in the report.
- A. when the auditor is independent in appearance and mental attitude
 - B. when there is scope limitation and substantial doubt about the company's ability to continue as a going concern,
 - C. when there is no deviation in the statements preparation as per the accounting standards.
 - D. when other accounting principle was applied on basis that was consistent with that of the preceding years.

505. Modigliani and Miller's Proposition II with taxes suggests that the cost of equity
 A. Decreases with the use of debt. B. Increases with the use of debt.
 C. Remains constant regardless of the capital structure.
 D. Is not affected by taxes.
506. n Modigliani and Miller's Proposition I without taxes, the cost of equity is assumed to:
 A. Increase with the use of debt. B. Decrease with the use of debt.
 C. Remain constant regardless of the capital structure.
 D. Be irrelevant in determining the firm's value.
507. In recent years it has become customary to address the report to stock holder to indicate that the auditor is independent of the company and board of directors. This statement indicates which part of audit report writing
 a. report title part c. Opinion paragraph part
 b. Introductory paragraph part d. Audit report address
508. Which is not the possible defense mechanism to auditor against lawsuit by third parties?
 A. Lack of duty to perform C. Non- negligent performance
 B. Contributory negligence D. Absence of causal connection
509. Which of the following is an example of fraud?
 A. A company overestimates the amount of inventory on hand
 B. An employee accidentally misstates the company's revenue
 C. A company mistakenly records an asset as a liability
 D. An employee intentionally manipulates financial records
510. Which of the following is an example of a substantive test?
 A. Testing the control environment C. Testing for fraud
 B. Confirming account balances with third parties D. Reviewing management's financial representations
511. Which audit report indicates that there are no material misstatements in the financial Statements?
 A. Qualified opinion C. Unmodified opinion
 B. Adverse opinion D. Disclaimer of opinion
512. Which of the following would be an audit risk?
 A. The risk of a company being sued C. The risk that a company will go bankrupt
 B. The risk of a company's failure to comply with tax laws D. The risk that an auditor will issue an incorrect opinion
513. When does an auditor typically review the company's internal control over financial Reporting?
 A. During the planning phase B. During the fieldwork phase
 C. After the financial statements have been prepared
 D. During the reporting phase
514. Evidence is said to be believable when
 A. The provider is independent D. Accumulated for the period outside of the audit
 B. There is unfortunate internal control system
 C. The auditor obtain them from others
515. Which of the following statement is incorrect according to Modigliani and Miller's Approach?
 A. Under a perfect market condition, the dividend policy of the company is irrelevant
 B. The value of the firm depends on how this income is split between dividends and retained earnings.
 C. Investors don't care about payout.
 D. There is no relation between the dividend rate and value of the firm.
516. ABC CO. currently has Br 150,000 on deposit with its bank. On May 4, 2024 it bought some raw materials and pays with a check for Br 100,000 for customer and recorded on company's book immediately. The customer was presented ABC's check on May 10, 2024 to ABC's bank for payment. Which of the following is correct on this circumstance?
 A. The firm's book balance is greater than its bank balance from May 4-10, 2024
 B. ABC has a collection float of Br 100,000 from May 4-10, 2024
 C. ABC has a disbursement float of Br 100,000 from May 4-10, 2024
 D. ABC has a disbursement float of Br 50,000 from May 4-10, 2024
517. Which of the following statement is not an assumption of Walters' model of dividend theory?
 A. The firm finances its entire investments by means of retained earnings only.
 B. The firm uses either debt or equity for financing its investment
 C. Internal rate of return (R) and cost of capital (K) of the firm remains constant.
 D. The firms' earnings are either distributed as dividends or reinvested internally.
518. In which of the following condition a corporation may pay a dividend?
 A. When the firm's liabilities exceed its assets
 B. When the amount of the dividend exceeds the accumulated profits (retained earnings)
 C. When the dividend is being paid from capital invested in the firm
 D. When the government gives tax incentives
519. Which of the following statement is incorrect about stock split?

- A. When a firm conducts a stock split, its stock's per-share par value declines
 - B. Stock splits affect firms' shares similar to stock dividend effects
 - C. A stock split has effect on the firm's capital structure
 - D. Stock splits increases the number of shares outstanding
520. Which of the following dividend policy is more suitable to the firm having fluctuating earnings from year to year?
- A. Constant payout ratio
 - B. Stable dollar dividend plus extra dividend
 - C. Constant dividend per share
 - D. No dividend policy
521. During 2016 ABC Company earns a net profit of Br 1,200,000. The Capital budget of ABC for 2017 was Br 2,000,000 with the target capital structure of 40% debt & 60% equity capital. If the internal rate of returns for ABC Company is 12% and costs of capital is expected to be 15% in 2017, what is the total dividend amount should be declared and paid by ABC Company at the end of 2016 according to Walter's model?
- A. Br 1,200,000
 - B. Br 800,000
 - C. Br 480,000
 - D. Br 720,000
522. Which of the following statement is correct?
- A. If the firm keeps high cash balance, it will have strong liquidity position but its profitability will be low.
 - B. Relaxed current asset investment policy provides the lowest expected return on investment and entails the lowest risk
 - C. In restricted current asset investment policy the holdings of current assets are maximized.
 - D. Relaxed current asset investment policy provides the highest expected return on investment, but entails the greatest risk
523. Assume MM, a retail clothing shop, which carries a line of men's shirts sells 1,000 shirts each year. It costs MM Br 5 per year to hold a single shirt in inventory and the fixed cost to place an order is Br 36. What is the economic order quantity of the MM?
- A. 278
 - B. 16
 - C. 120
 - D. 84
524. In the above question, question 523, if MM knows that it requires 10 days to place and receive an order and it uses 3 units of inventory daily, what its reorder point?
- A. 40 shirts
 - B. 30 shirts
 - C. 12 shirts
 - D. 29 shirts
525. In which of the following divided theory investors might prefer a low dividend payout to a high payout?
- A. MM irrelevancy theory
 - B. Gordon's approach relevancy theory
 - C. Tax preference theory
 - D. Walter's approach relevancy theory
526. Which of the following is not the benefit of extending credit?
- A. To be competitive with other firms.
 - B. To increase sales to present customers
 - C. To attract potential customers.
 - D. To increase a cash discount.
527. The time delay between the receipt of a check by the payee and the deposit of it in the firm's account is _____.
- A. Mailing time
 - B. Processing time
 - C. Availability time
 - D. Collection time
528. ABC Inc. purchased land and building from XYZ Corporation for a cash payment of Br. 480,000. The estimated fair values of the assets are land Br. 220,000, and building Br. 280,000. At what amounts should each of the assets be recorded respectively?
- A. Br. 240,000, Br. 240,000
 - B. Br. 220,000, Br. 280,000
 - C. Br. 480,000, Br. 480,000
 - D. Br. 211,200, Br. 268,800
529. ABC Inc. purchased land and building from XYZ Corporation for a cash payment of Br. 690,000. The estimated fair values of the assets are land Br. 320,000, and building Br. 520,000. At what amounts should each of the assets be recorded respectively?
- A. Br. 262,857.14, Br. 427,142.86
 - B. Br. 320,000, Br. 520,000
 - C. Br. 690,000, Br. 520,000
 - D. Br. 211,200, Br. 268,800
530. Tsion Inc. purchased land at a price of Br. 950,000. Legal fee costs were Br. 9,000. An old building was removed at a cost of Br. 25,000. What amount should be recorded as the cost of the land?
- A. Br. 984,000
 - B. Br. 959,000
 - C. Br. 934,000
 - D. Br. 950,000
531. Awash Global Corporation provided a loan to Samsung Company by receiving a 5-year, 150,000 Birr note receivable in exchange. The interest rate on the note is stated 12 percent. On this interest rate the maker is expected to pay annual interest to the buyer. The market rate of interest on similar risk note is 15 percent. How does Awash record the receipt of the note?
- A. 168,000 Birr
 - B. 74,580 Birr
 - C. 134,977.2 Birr
 - D. 60,397.20 Birr
532. Which of the following statements about users of accounting information is incorrect?
- A. Management is an internal user.
 - B. Taxing authorities are external users.
 - C. Present creditors are external users.
 - D. Regulatory authorities are internal users

533. The three types of business entities are:
- Proprietorships, small businesses, and partnerships.
 - Proprietorships, partnerships, and corporations.
 - Proprietorships, partnerships, and large businesses.
 - Financial, manufacturing, and service companies.
534. Net income will result during a time period when:
- assets exceed liabilities.
 - assets exceed revenues.
 - expenses exceed revenues.
 - revenues exceed expenses.
535. Payment of an account payable affects the components of the accounting equation in the following way:
- decreases equity and decreases liabilities.
 - increases assets and decreases liabilities.
 - decreases assets and increases equity.
 - decreases assets and decreases liabilities.
536. The purchase of supplies on account should result in:
- a debit to Supplies Expense and a credit to Cash.
 - a debit to Supplies Expense and a credit to Supplies.
 - a debit to Supplies and a credit to Accounts Payable.
 - a debit to Supplies and a credit to Accounts Receivable.
537. Gross profit will result if:
- Operating expenses are less than net income.
 - Sales revenues are greater than operating expenses.
 - Sales revenues are greater than cost of goods sold.
 - Operating expenses are greater than cost of goods sold.
538. Under a perpetual inventory system, when goods are purchased for resale by a company:
- purchases on account are debited to Inventory.
 - purchases on account are debited to Purchases.
 - purchase returns are debited to Purchase Returns and Allowances.
 - freight costs are debited to Freight-Out.
539. If sales revenues are €400,000, cost of goods sold is €310,000, and operating expenses are €60,000, the gross profit is:
- €30,000.
 - €340,000.
 - €90,000.
 - €400,000.
540. A credit sale of Birr 7,500 is made on June 13, terms 2/10, net/30. A return of Birr 500 is granted on June 16. The amount received as payment in full on June 23 is:
- Birr 7,000.
 - Birr 6,860.
 - Birr 6,850.
 - Birr 6,500.
541. What do credit terms 1/10, n/30 indicate?
- A 10% discount is available if payment is made within 30 days
 - A 1% discount is available if payment is made within 10 days
 - A 1% discount is available if payment is made within 30 days
 - A 30% discount is available if payment is made within 10 days